

The 2024 State of Independent SaaS

FROM THE TEAM AT



MicroConf

Featured Analysis Partner

DEMANDMAVEN

MicroConf is excited to partner with **Asia Orangio**, CEO and Founder of **DemandMaven**, as our Featured Analysis Partner for this year's report. Asia's extensive experience in helping SaaS founders achieve their goals through proven go-to-market strategies, customer research, positioning, and growth practices makes her an invaluable addition to our report. Her previous roles, including serving on the board of directors at Moz, have equipped her with a deep understanding of the SaaS industry and the challenges faced by independent SaaS companies.

DemandMaven, founded by Asia in 2018, is a growth consultancy that has helped numerous founders and CEOs, both VC-funded and bootstrapped, reach their next growth stage. We are thrilled to have Asia's expertise and insights featured in this year's report, and we hope you enjoy her valuable contributions.

[DEMANDMAVEN.IO](https://demandmaven.io)



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Welcome to the Fourth Annual State of Independent SaaS

As we step into the mid-2020s, the landscape of bootstrapped SaaS continues to evolve, presenting new challenges for founders worldwide. Despite the economic uncertainties and technological shifts, the resilience and adaptability of bootstrapped entrepreneurs have allowed them to thrive in this present-day ecosystem.

The abundance of resources and tools available to builders has further democratized software entrepreneurship, making it more accessible than ever before. The survey results in this report indicate that a majority of founders have slowed hiring both last year and in the year ahead.

With the rapid advancements in no-code platforms and the increasing adoption of AI-powered tools, the barriers to entry for aspiring software entrepreneurs continue to diminish. This trend is expected to accelerate, fostering innovation and competition in the independent SaaS space.

In this year's report, we have expanded our analysis to include several new data points and trends that reflect the current state of the industry.

Pricing and Monetization Strategies

With the increasing complexity of the SaaS landscape, we delve into the evolving pricing and monetization strategies employed by SaaS companies. We analyze the effectiveness of different pricing models, and provide specific insights on successful tactics.

Outside Funding

In this year's report, we take a closer look at the role of outside funding in the ecosystem. While bootstrapping remains the preferred path for many founders, we explore the motivations and experiences of those who have chosen to seek external investment. We analyze the impact of funding on growth, the most sought-after funding sources, and the challenges faced by bootstrapped founders in an increasingly competitive landscape.

Growth Strategies for Bootstrappers

As SaaS matures, sustainable growth has become a critical focus for bootstrapped founders. We examine the most effective growth strategies, ad networks, and even which marketing channels were favored by companies with the highest LTVs.

The goal of this report remains unchanged: to equip bootstrapped SaaS founders with the data and insights they need to make informed decisions and compete effectively in a rapidly evolving market.

As we navigate the opportunities of the mid-2020s, our commitment at MicroConf is to do what we can to multiply the world's population of independent, self-sustaining startups. We hope this report is one more tool to help you on your journey.

Onward!



Rob Walling
Co-Founder, MicroConf

The Founders Defining an Industry

The SaaS industry has seen a growing trend of entrepreneurs building businesses without relying heavily on venture capital. These self-funded or mostly self-funded companies have sparked a debate about the definition of “bootstrapped” and its implications.

Despite varying opinions on the precise meaning of the term, a recent survey revealed that nearly **90% of founders in this space identified “bootstrapped”** as the most accurate description of their entrepreneurial journey. As language evolves, the vocabulary used to describe this segment of the SaaS industry may change, but for now, “bootstrapped” remains the preferred term.

The rise of bootstrapped SaaS businesses has challenged traditional funding models and showcased the resilience and determination of entrepreneurs forging their own path. This trend is likely to significantly impact the future of the SaaS industry, inspiring a new generation of founders to embrace the bootstrapped approach and redefine success in the tech world.



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who just get it.

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The Founders



8 in 10

Bootstrapped SaaS companies have one or more developers on their founder team.

In this section, we take a quick look at a variety of factors making up the identities of those founders that have been surveyed.

Unsurprisingly, SaaS founders tend to skew in line with the greater tech ecosystem, often times centered in densely populated regions, with demographics leaning into a predominantly caucasian male populous.

We also look at whether founders are working on their projects in a full time capacity...or if they'd like to be.



The Founders

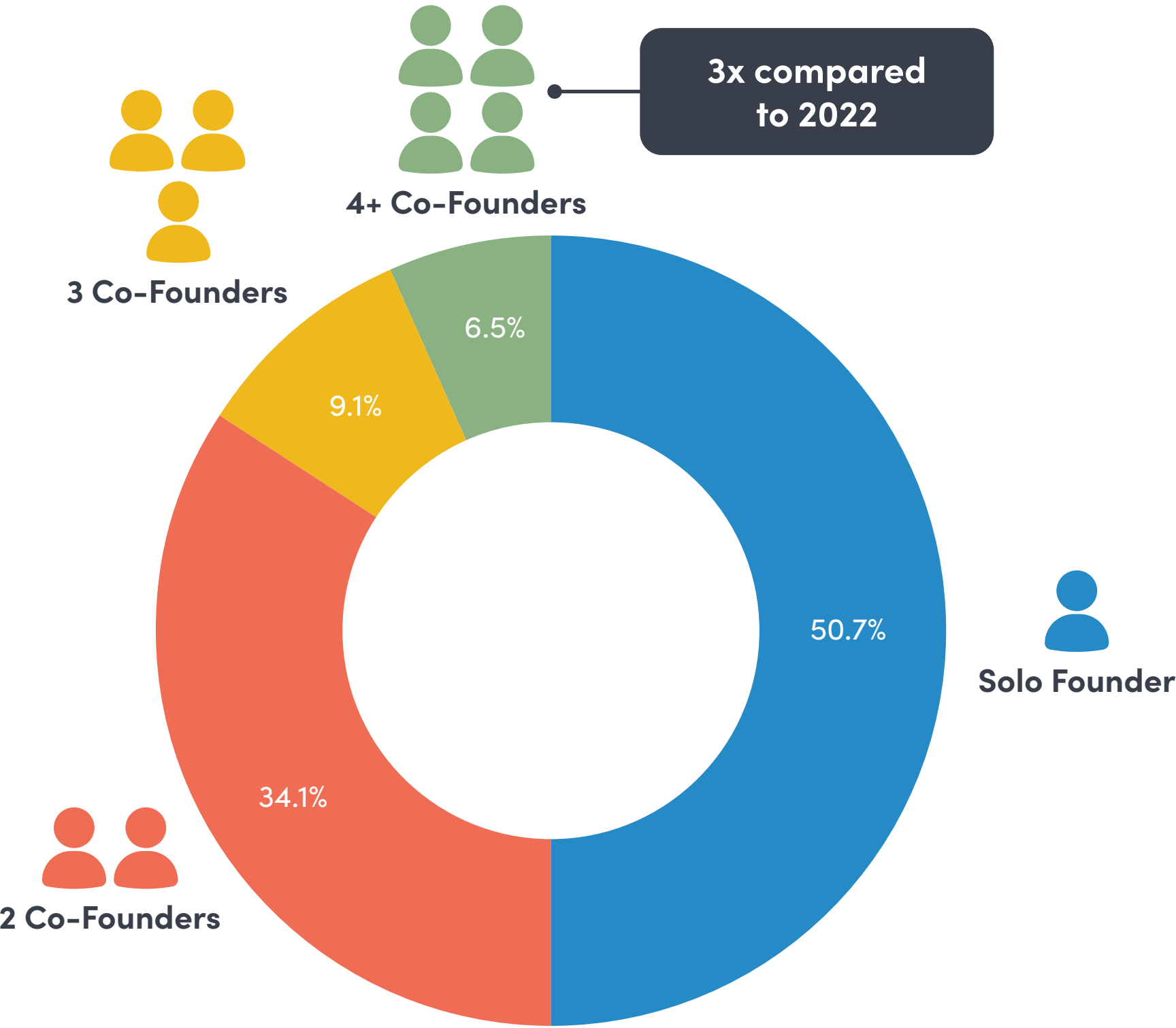
The Global Bootstrapping Ecosystem

Our network of bootstrappers who participated spans **41 countries** and **265 cities** around the world.



The Founders
**How many founders
are currently working
at your company?**

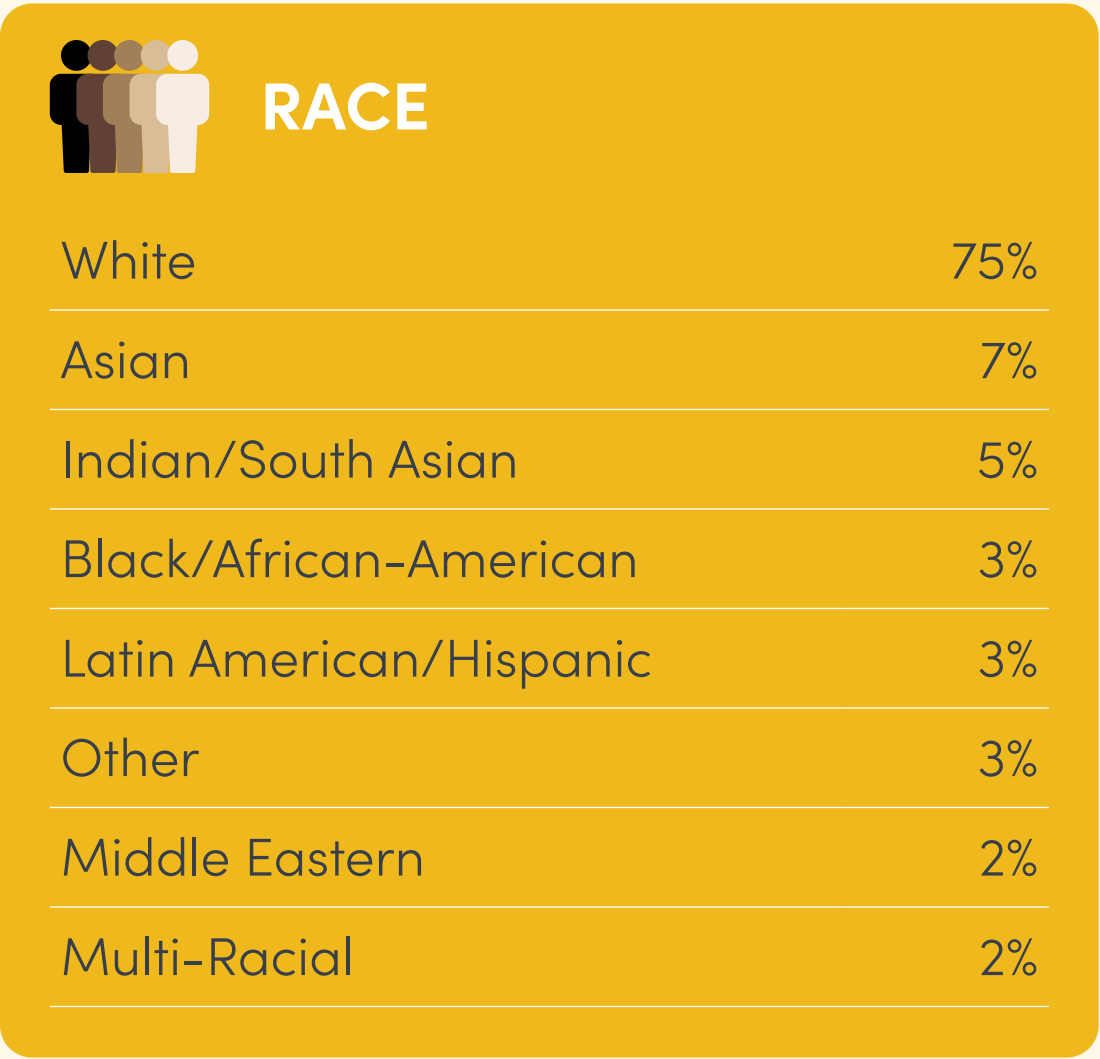
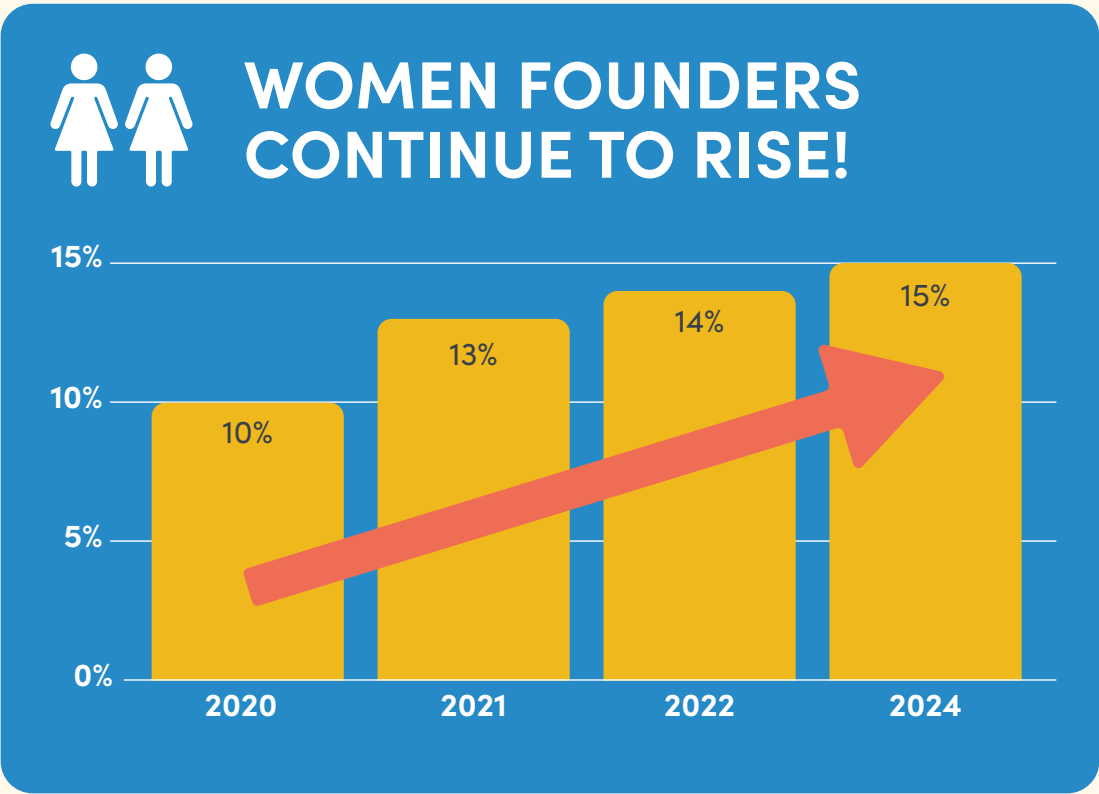
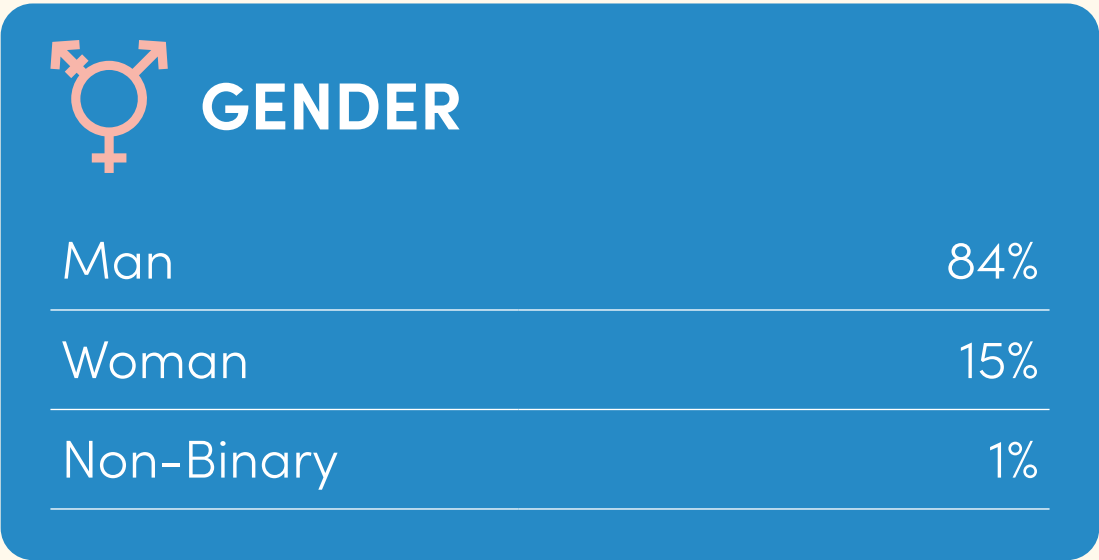
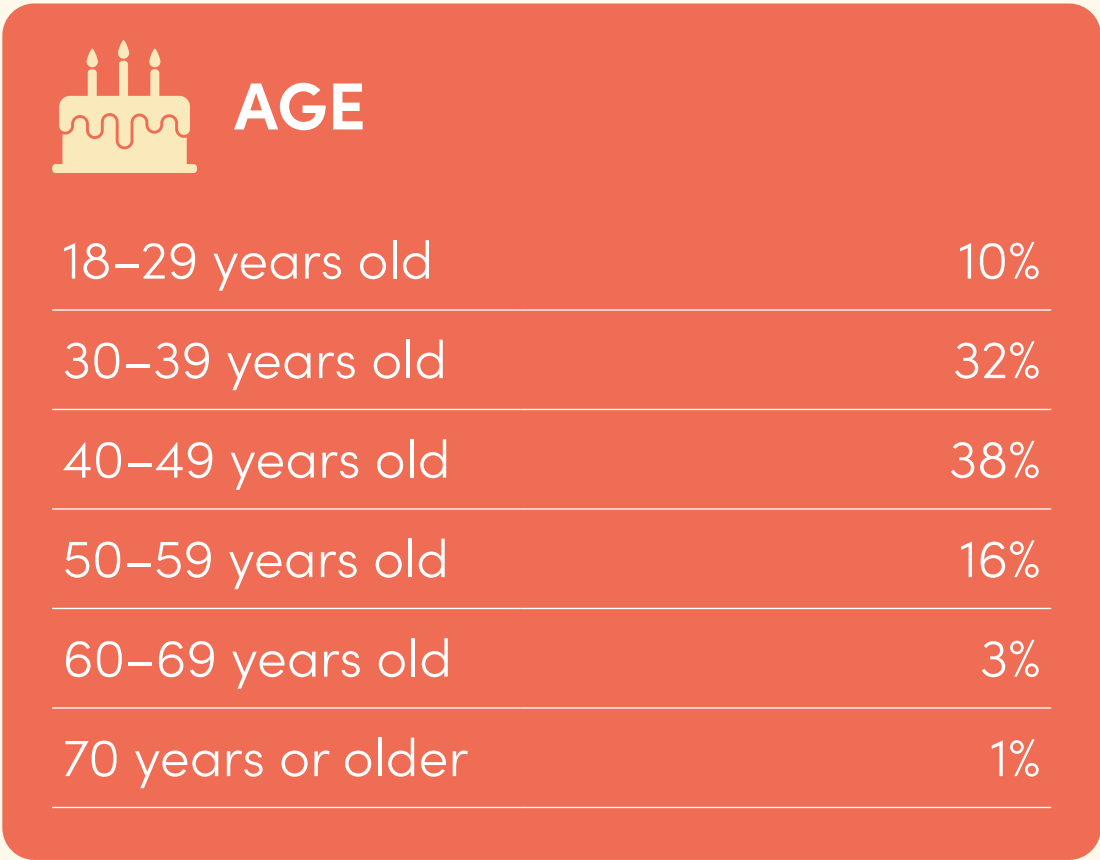
NUMBER OF FOUNDERS AT THE COMPANY



The Founders

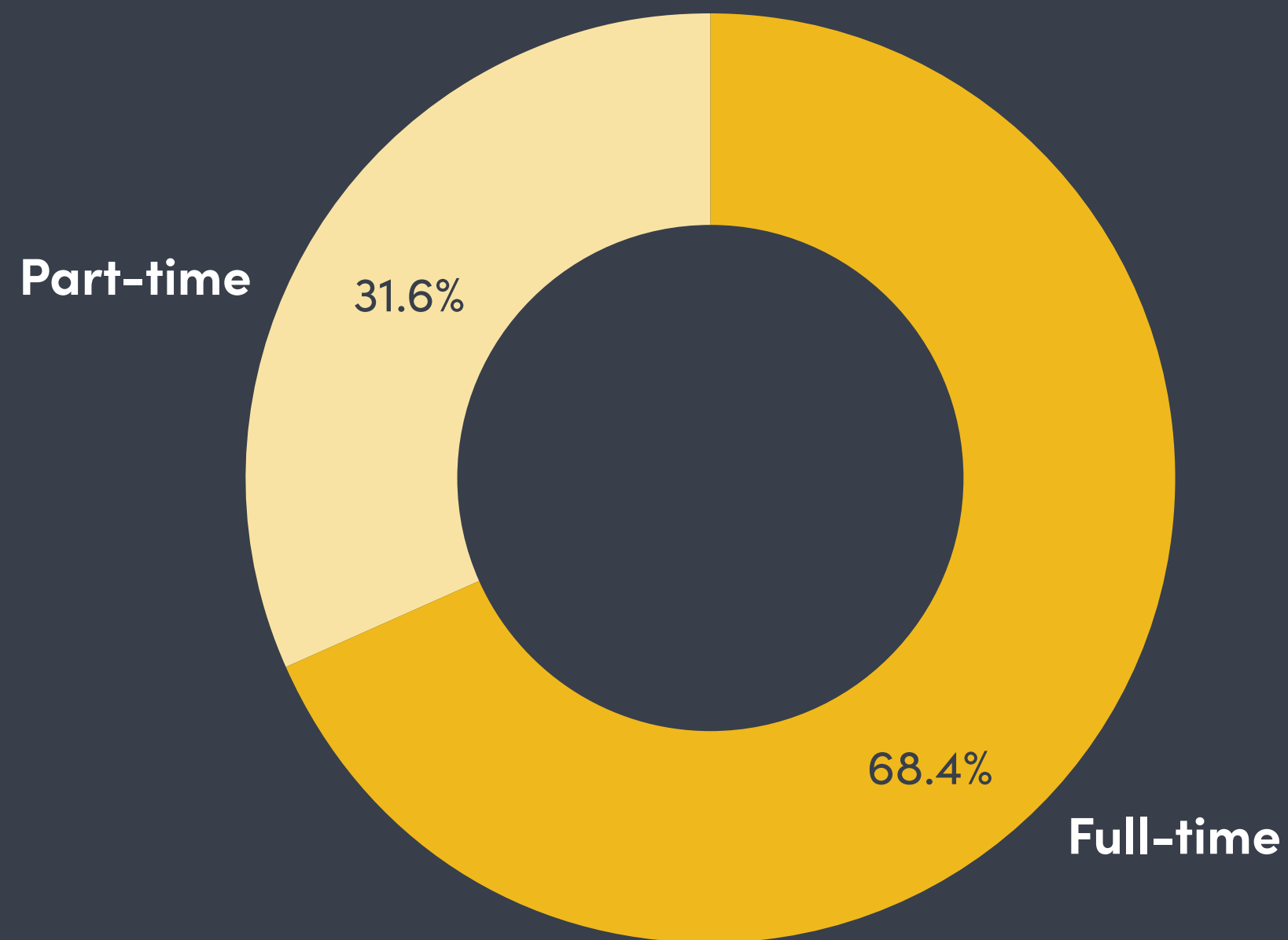
Demographics

Each demographic data point looks at the members of the founding team.

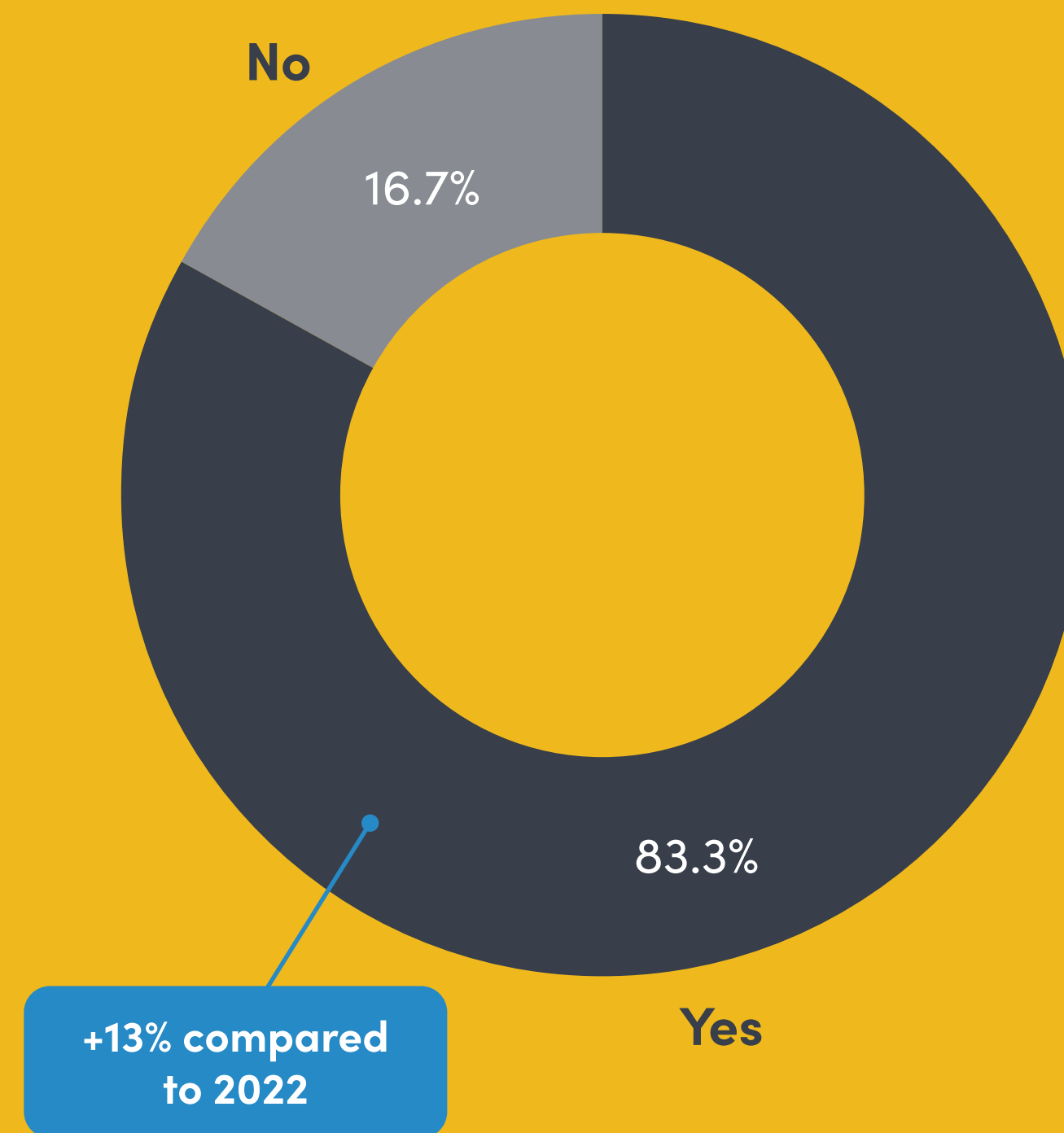


The Founders

As a founder, do you work full-time or part-time in your business?

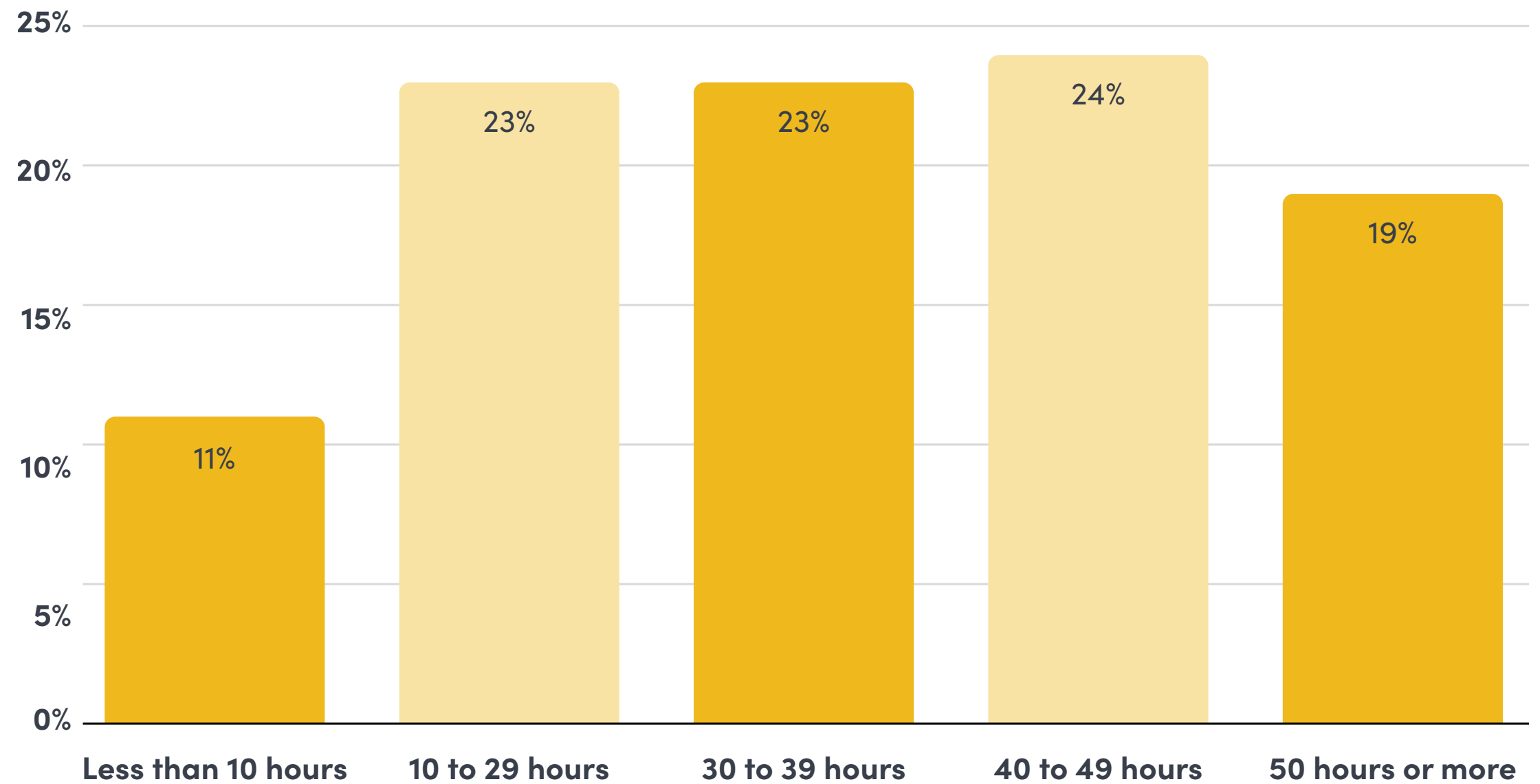


Is your goal to be working on your business full time?



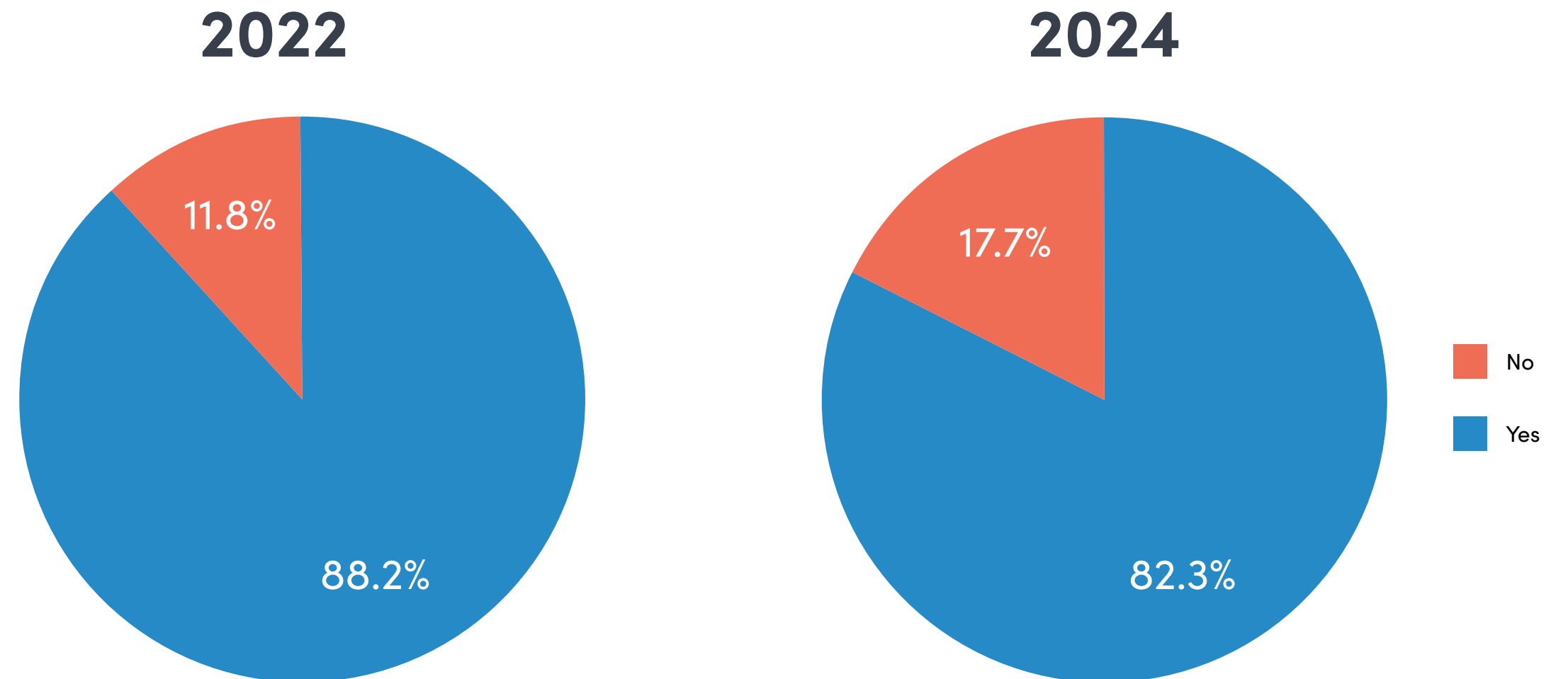
The Founders
**How many hours do
you typically work
per week at your
current company?**

NUMBER OF HOURS WORKED PER WEEK



The Founders
**Would you or any
of the founders of
your company
consider themselves
a developer?**

FOUNDERS WHO CONSIDER THEMSELVES DEVELOPERS

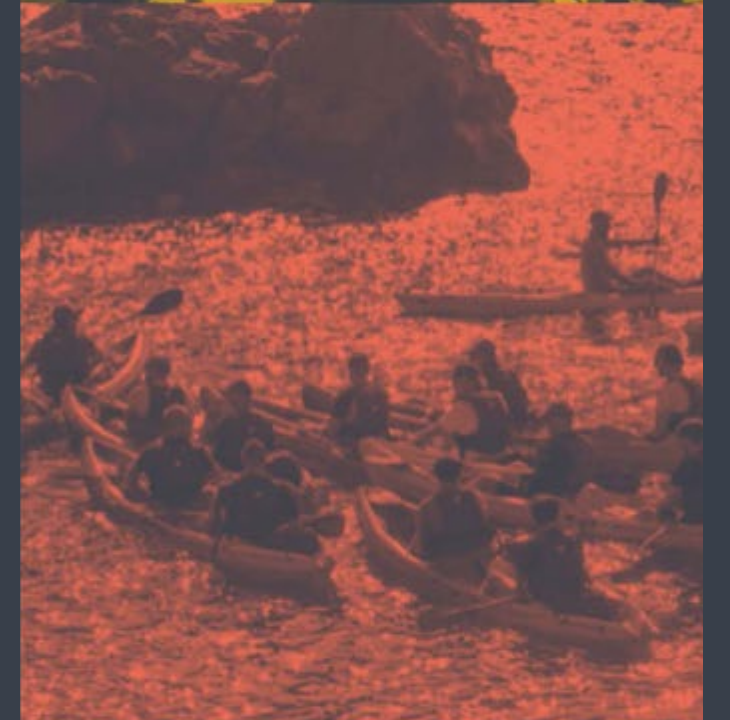


MicroConf Events

Uniting Bootstrapped Founders Globally Since 2011

Whether you're an early stage SaaS founder looking to find your crew, a serial entrepreneur staying up on trends, or just want to be surrounded by people who understand the grind of bootstrapped entrepreneurship – our events are made for you.

UPCOMING EVENTS



The Companies



48 Months

the average age of SaaS businesses surveyed.

In this section, we explore a few elements of the businesses themselves – their origin stories, their customer base, and their team size.

We also wanted to understand a bit more about hiring practices, which point to an ecosystem that is creating meaningful jobs.

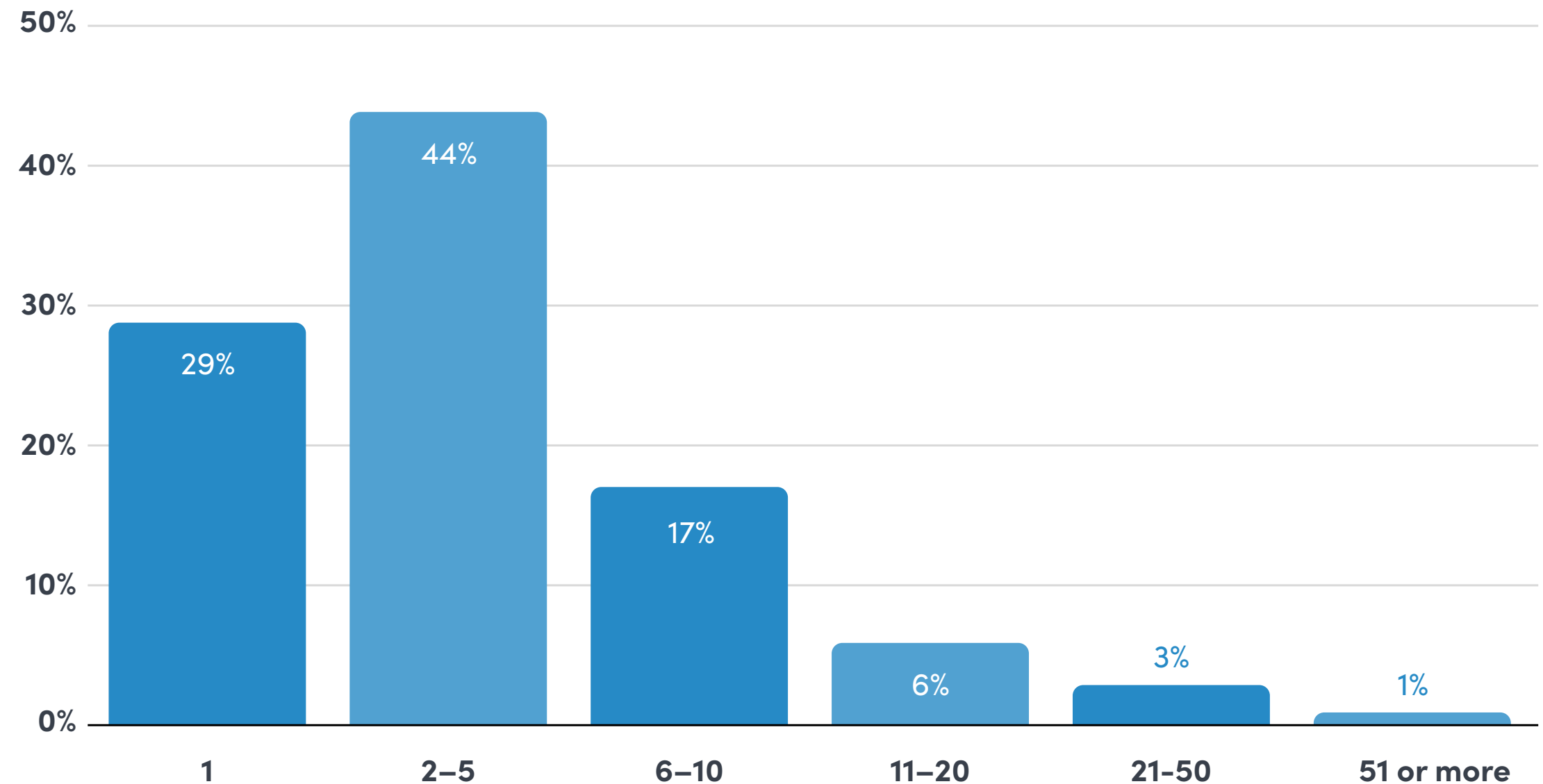


The Companies Team Headcount

29%

of founders surveyed are the sole employee—running the entire business by themselves.

NUMBER OF EMPLOYEES (INCLUDING THE FOUNDER)



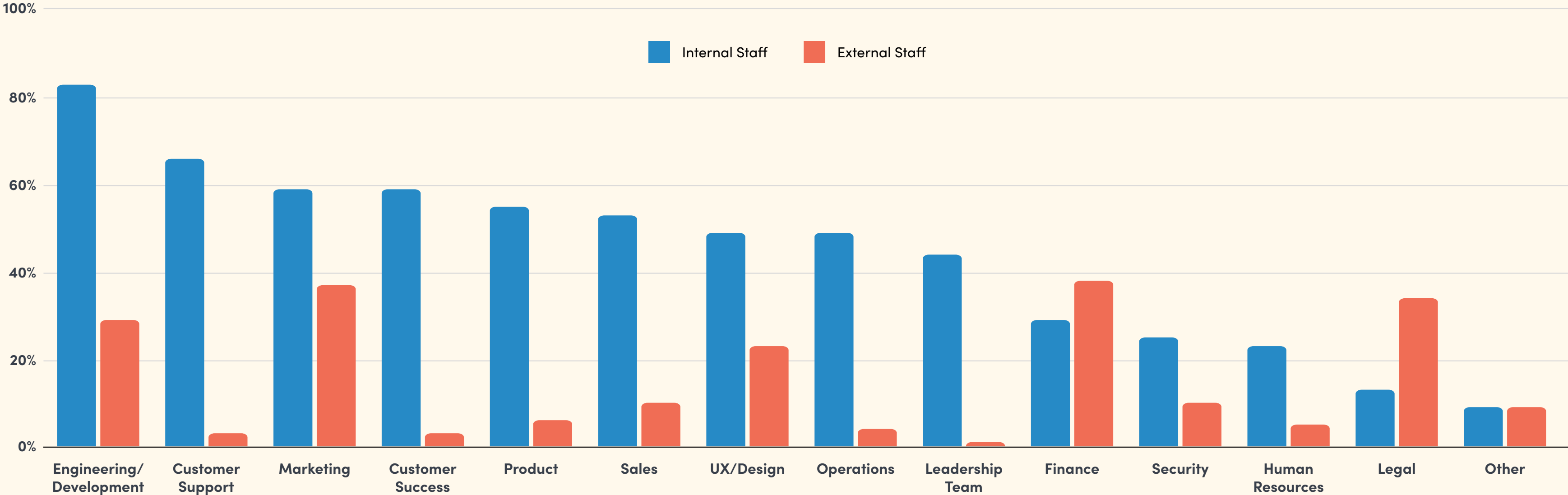
The Companies Staffing



Most companies (over 50%) who have **internal** staff have them focused on roles around **product development, sales/marketing** and **customer service/success**.



When **outsourcing**, companies tend to seek professional services such as **legal, finance**, and **marketing** while very rarely using outside contractors for customer support.

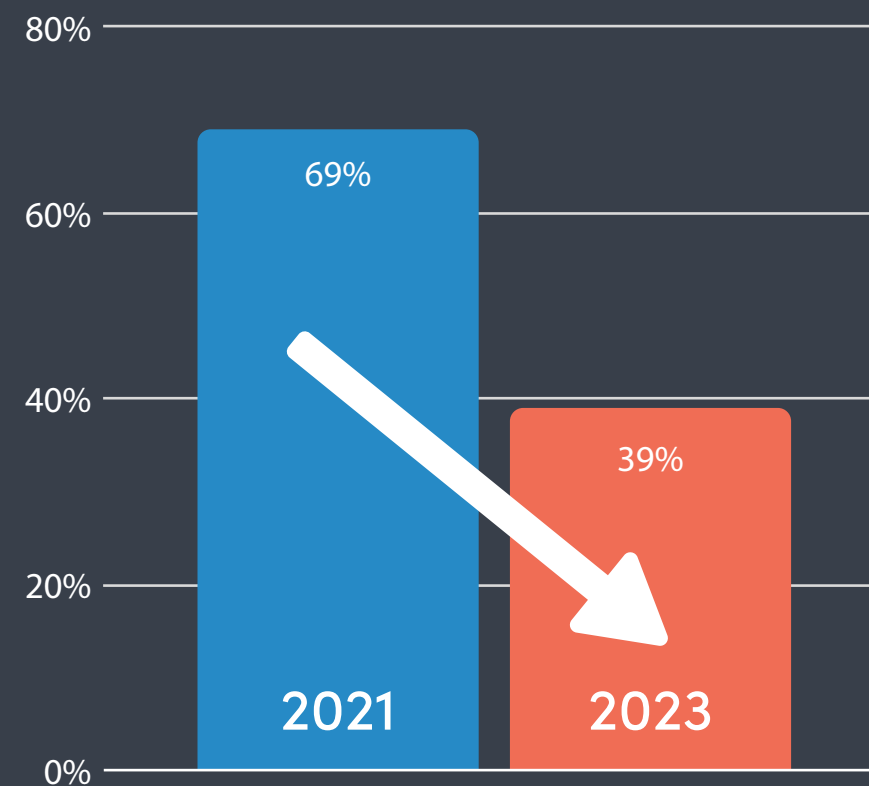


Hiring Freeze!

HIRED IN THE PAST 12 MONTHS

30%↓

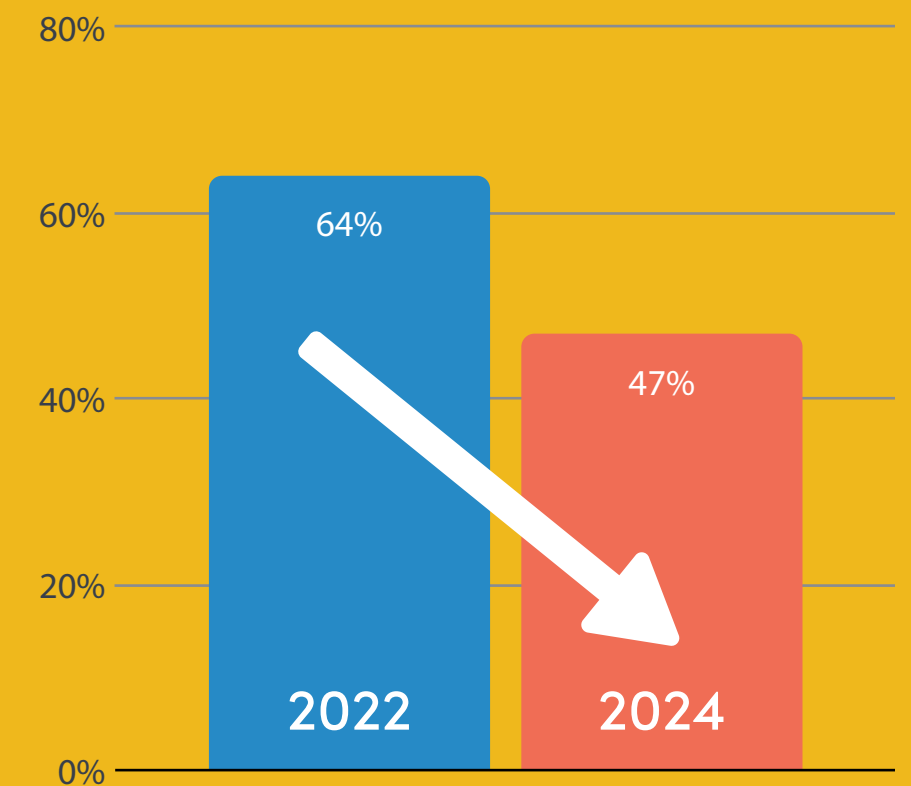
fewer companies
hired in 2023
compared to 2021.



PLAN TO HIRE IN THE NEXT 12 MONTHS

17%↓

fewer companies
plan to hire in 2024
compared to 2022.



With 85% of companies reporting that hiring difficulties are either the same or easier, this is likely due to economic factors.



58%

OF COMPANIES PLANNING TO
HIRE IN THE NEXT 12 MONTHS
WILL HIRE FOR ENGINEERING
AND DEVELOPMENT.

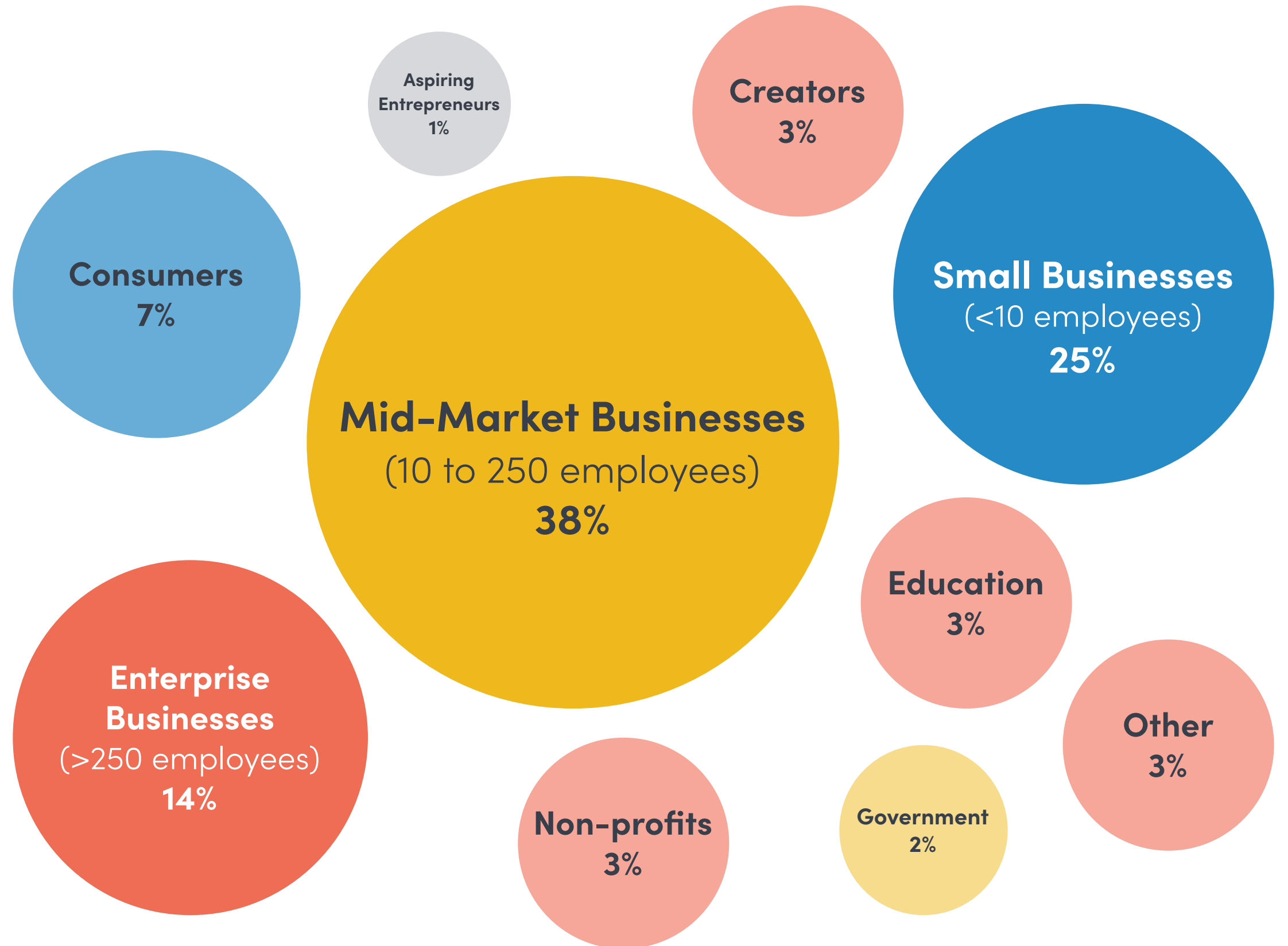
TOP 5 ROLES BEING HIRED
BY SAAS BUSINESSES

Engineering/Development	58%
Marketing	38%
Sales	38%
Customer Success	33%
Customer Support	32%

The Companies

Who are the ideal customers for your SaaS product?

With **77%** primarily focused on businesses, consumers continue to be a rare focus for bootstrapped SaaS, at only 7%.



Choose your target market wisely— it may have an impact on your growth rates.

Targeting enterprise companies likely means you'll see a much higher average month-over-month growth rate (as much as **26%**).

Interestingly, **targeting government could mean some of the slowest growth rates** (although perhaps still reliable in some ways).

All other market segments saw declines in growth. All this to say, **choose your target market wisely!** It has an impact on growth.

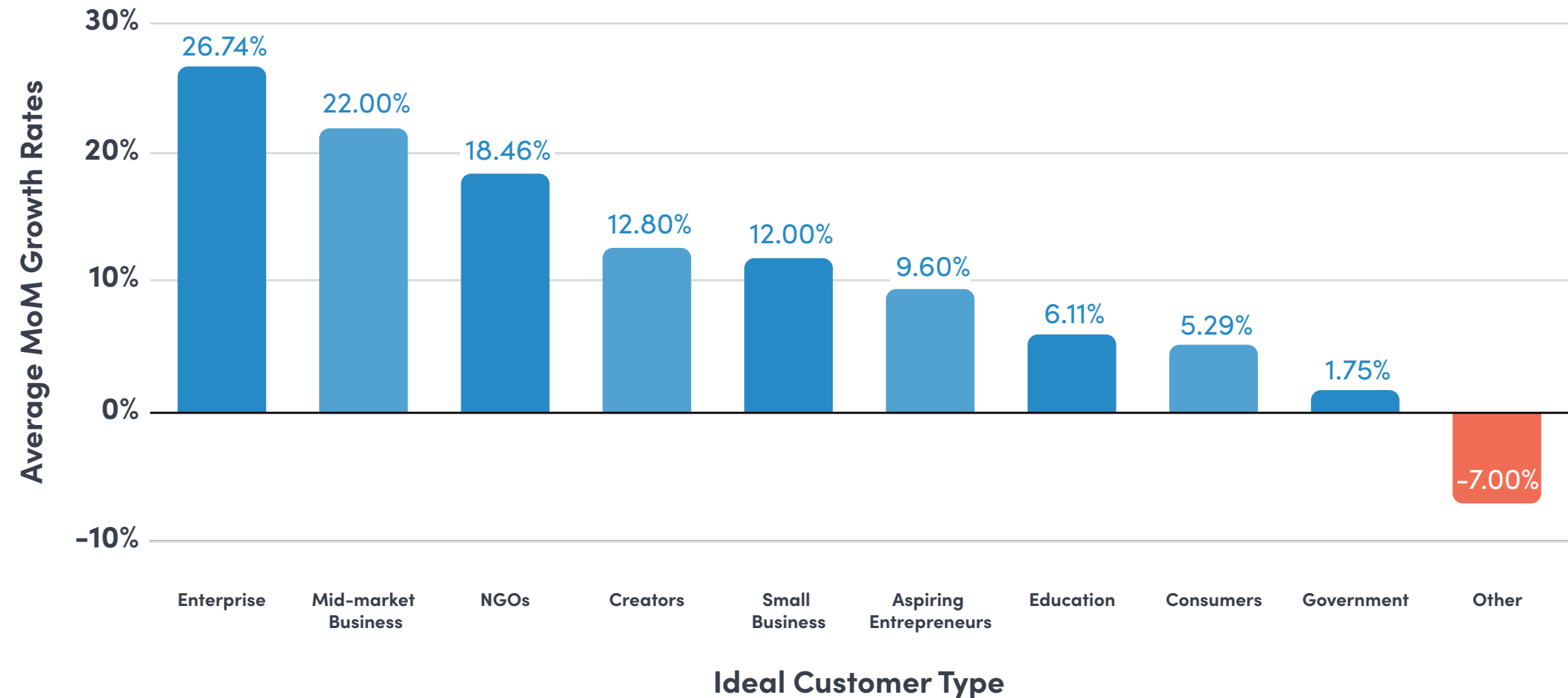


FEATURED ANALYSIS BY:

DEMANDMAVEN

Asia Orangio, CEO & Founder

GROWTH RATES BY IDEAL CUSTOMER TYPE



Funding, mentorship, and community for bootstrapped SaaS.

The TinySeed Accelerator is a remote, year-long, program designed for early-stage SaaS founders. Take your business from product-market-fit to escape velocity with our help.

LEARN MORE



Pricing

Pricing is a pivotal decision that can significantly impact the success of your business. In this section, we explore various pricing strategies, including different pricing structures, determining optimal price points, and the strategic use of free offerings.

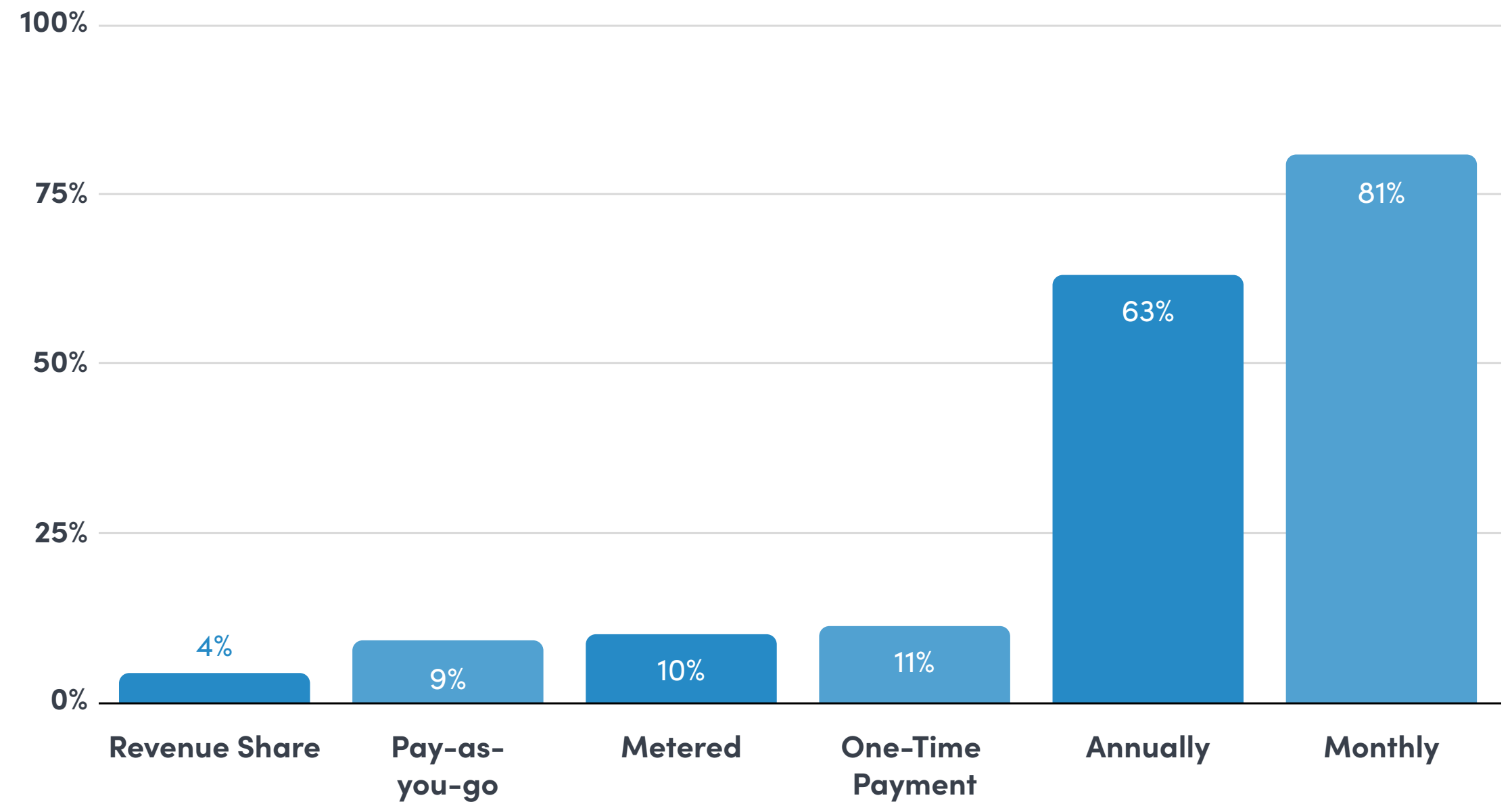
By understanding and applying these powerful pricing levers, you can effectively attract customers, drive growth, and enhance profitability. A well-crafted pricing approach is essential for any SaaS business looking to thrive in today's competitive landscape.



Pricing

Which pricing structures are available to your customers?

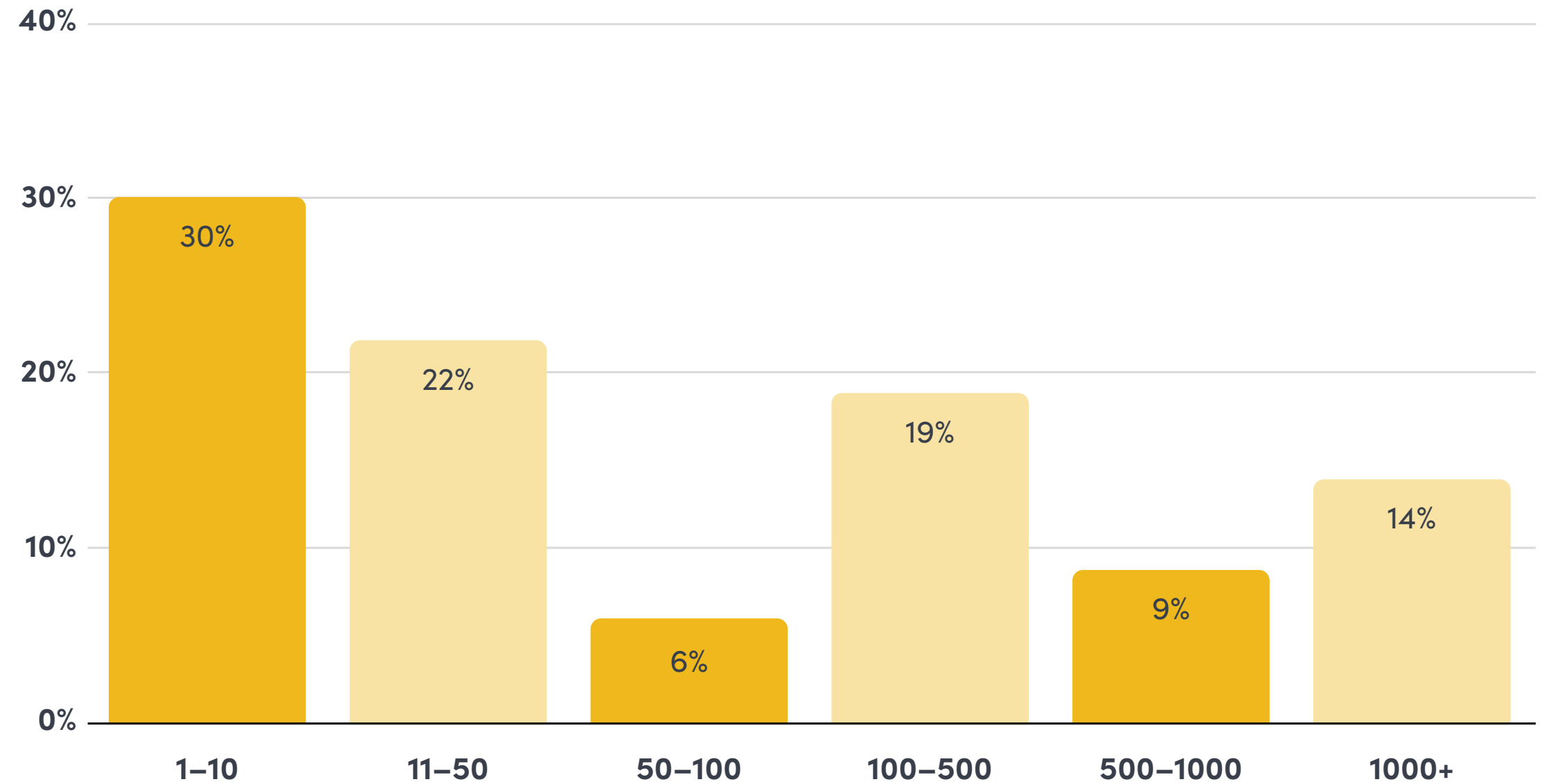
PRICING STRUCTURES AVAILABLE TO CUSTOMERS



Pricing

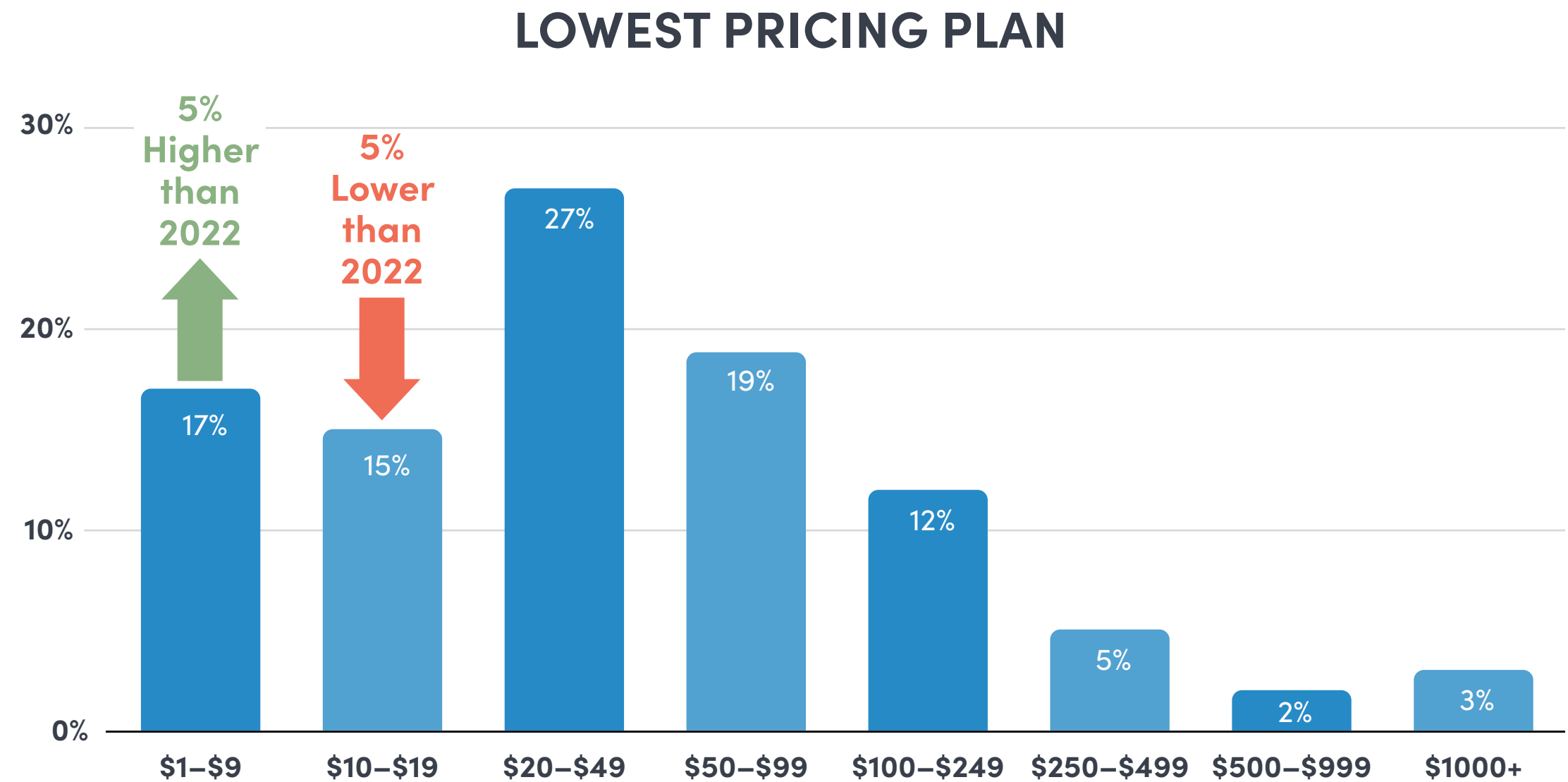
**How many paying
customers does
your company
currently have?**

NUMBER OF PAYING CUSTOMERS



Pricing

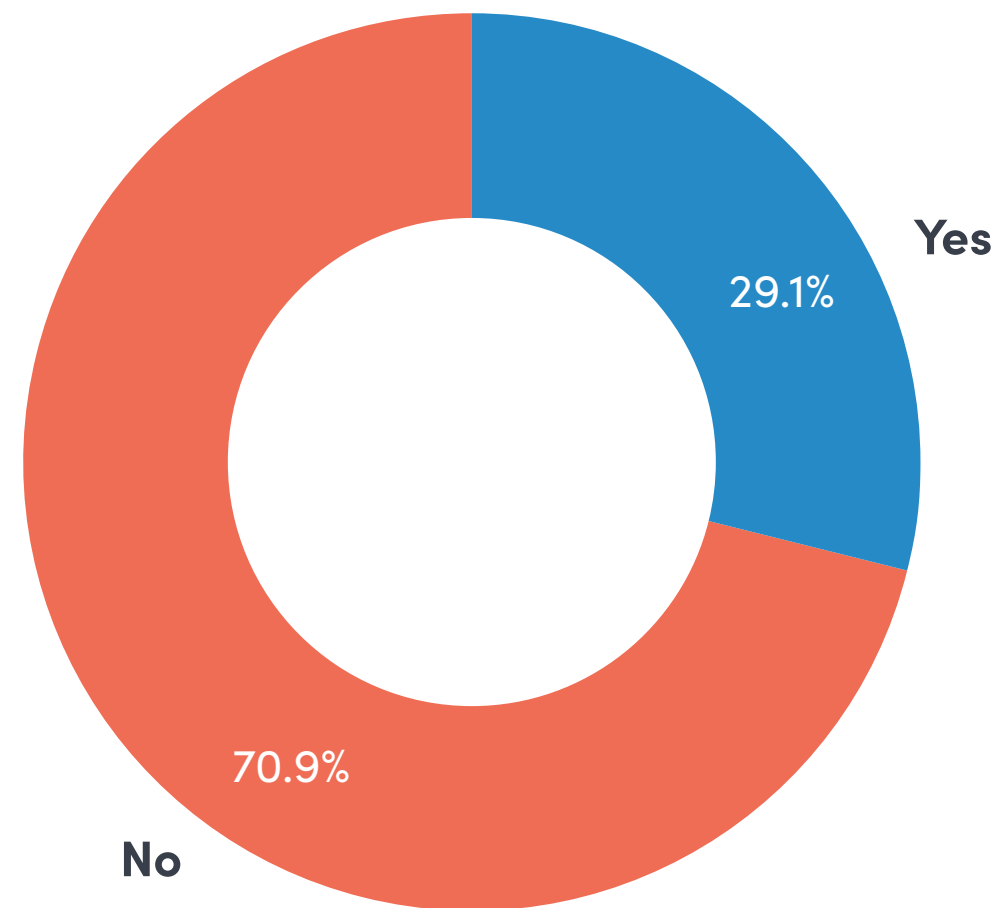
What is your lowest monthly subscription price?



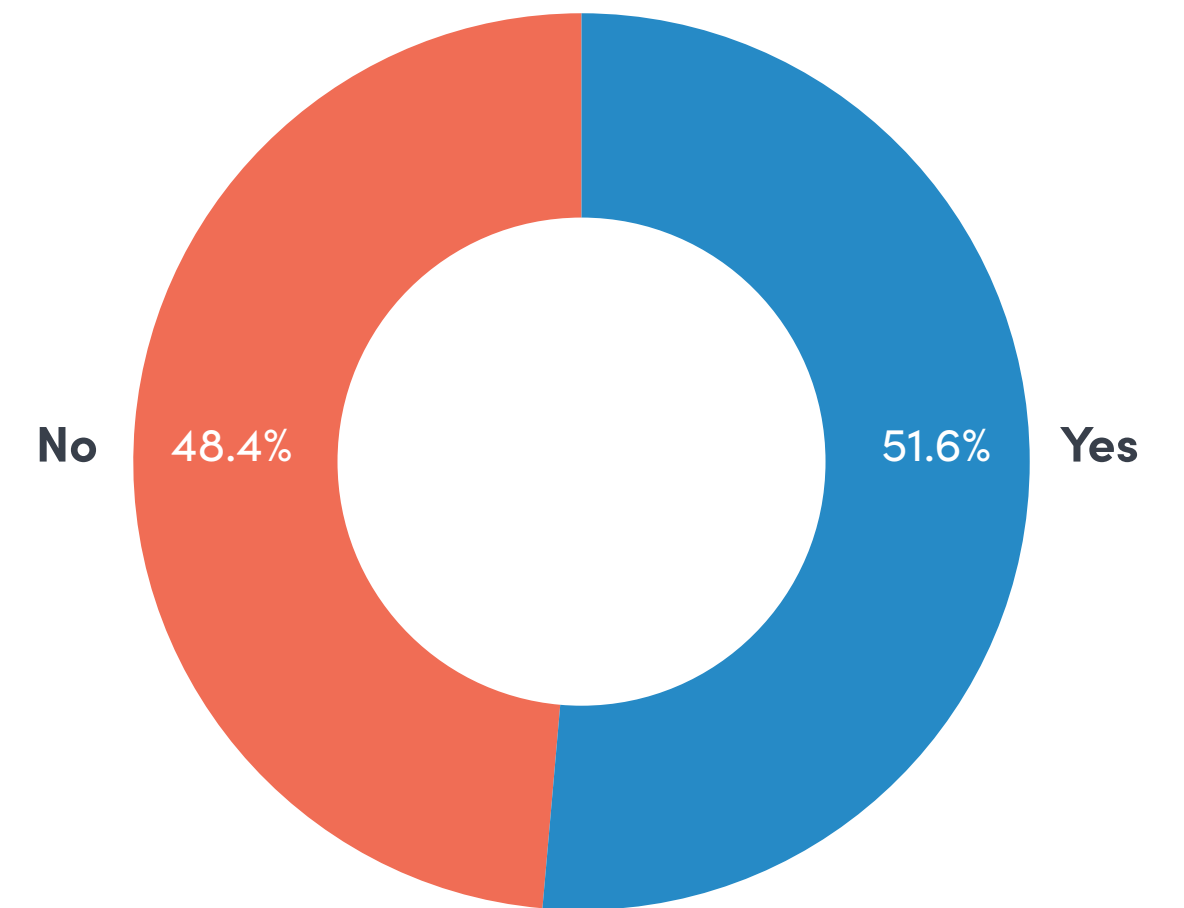
Pricing

Which of the following free offerings are available to your customers?

Freemium



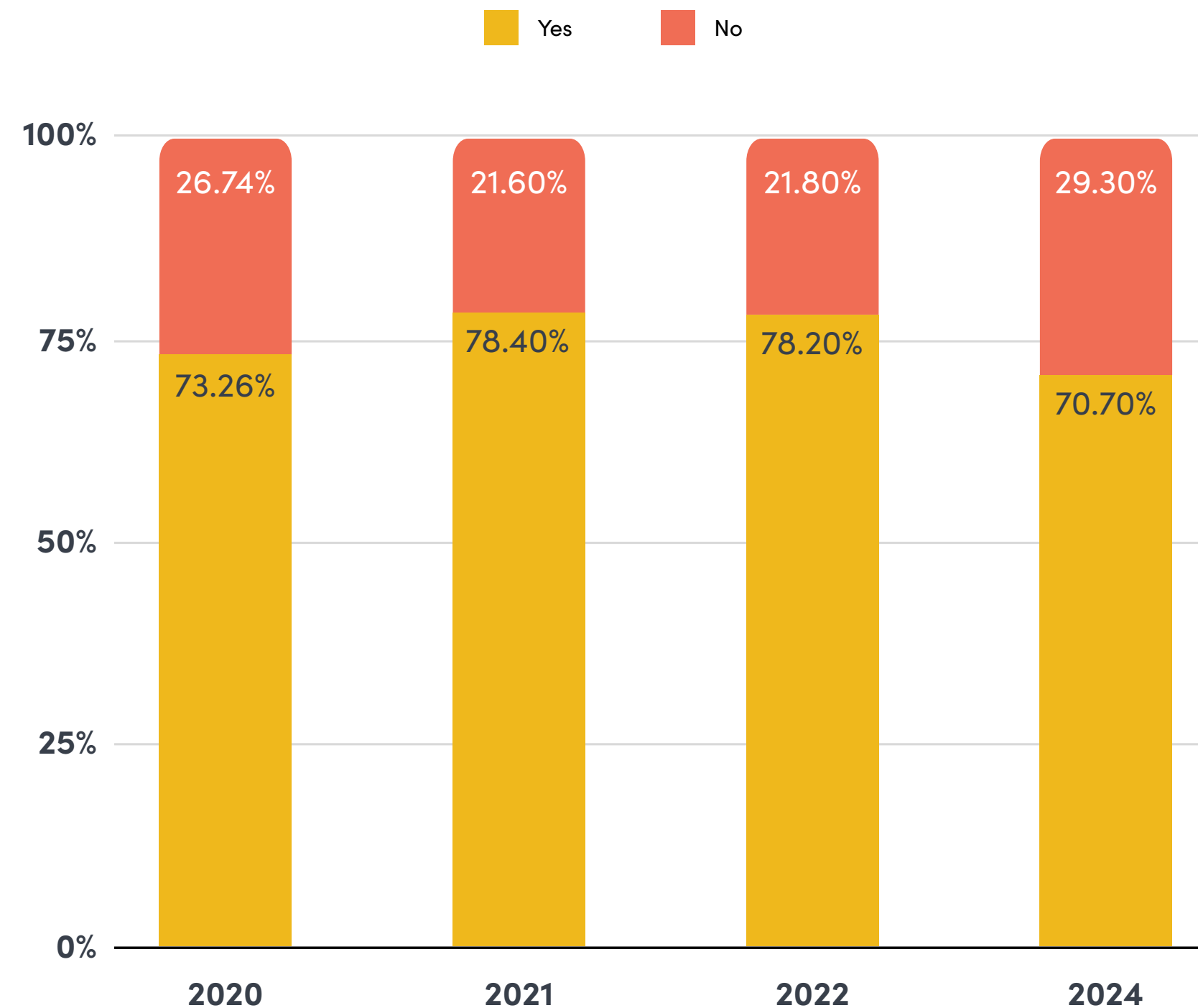
Free Trial



Pricing

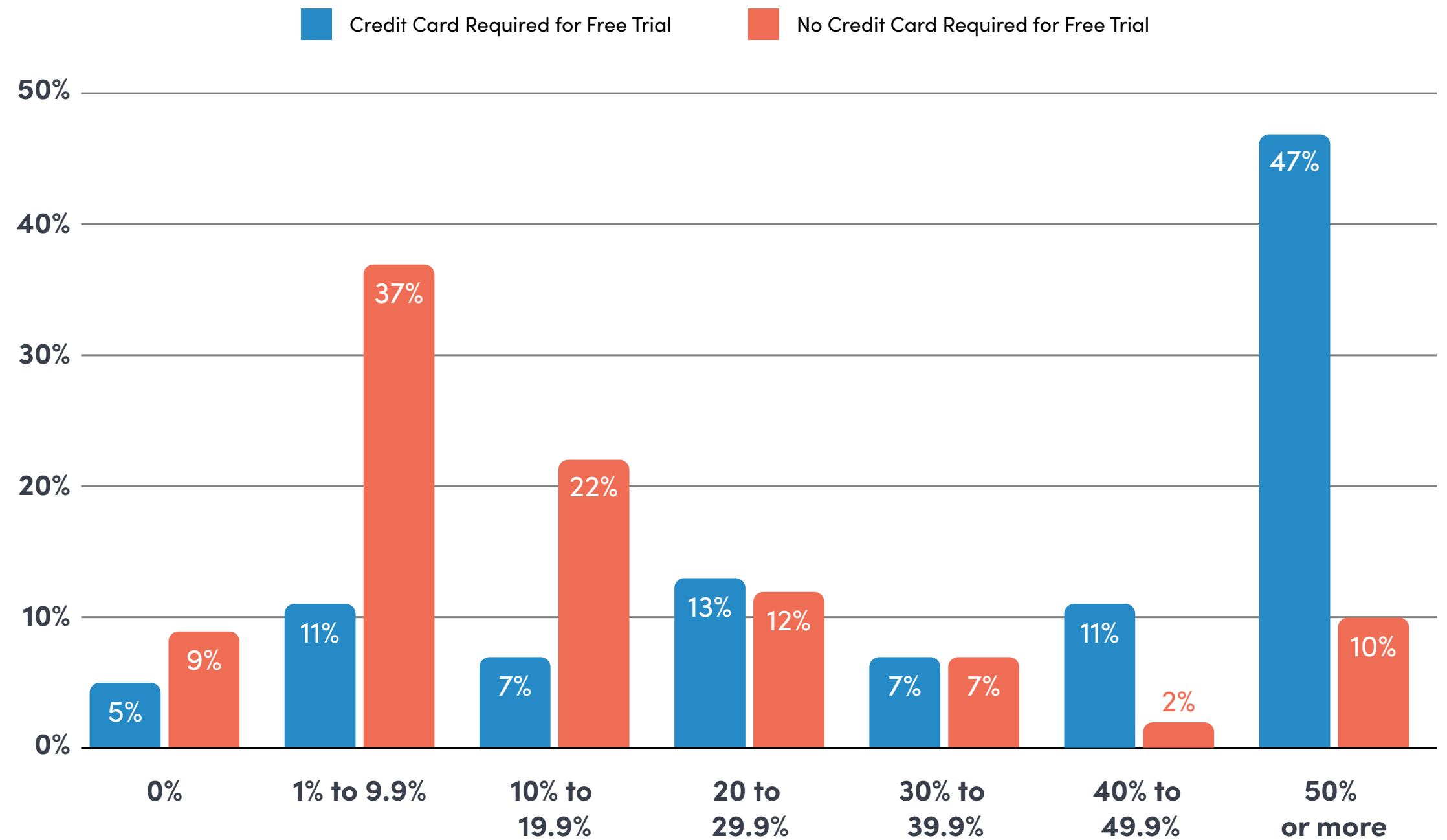
When a potential customer registers for a free trial, does your company request a credit card number to start the trial?

FREE TRIAL REQUIRING CC: 2020–2024



Pricing
**Free Trial to Paid
Conversion Rates**

FREE TRIAL → PAID



And now it's time for the Battle of the Models!

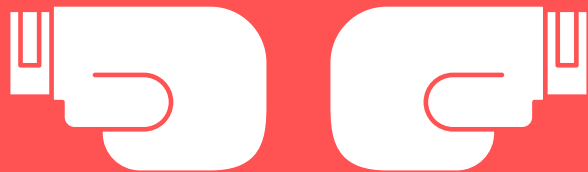


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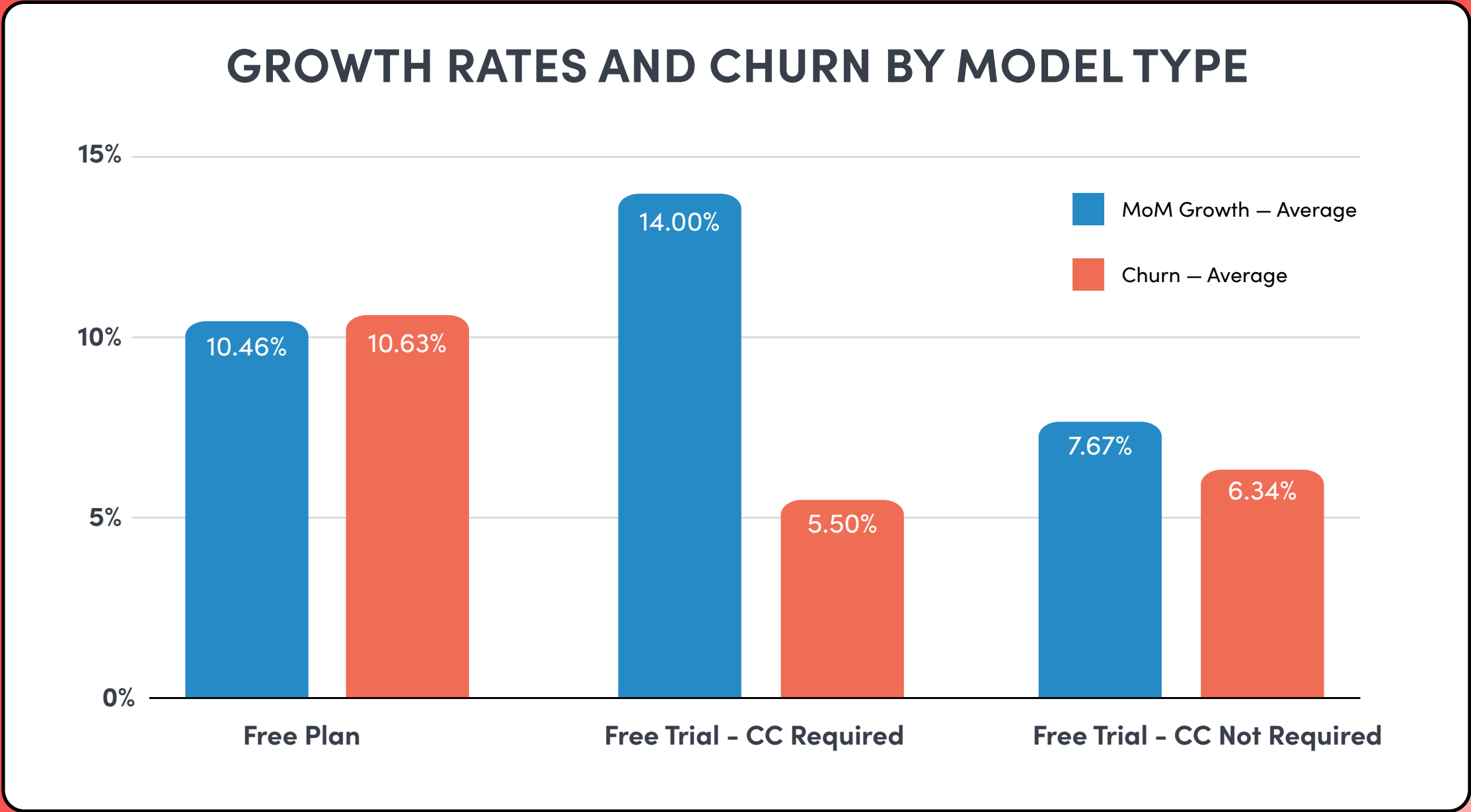
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Asia Orangio, CEO & Founder

Free Plans, on average, had high month-over-month growth (~10%), but they also had equally high churn.



Opt-Out Free Trials (where the credit card is required) saw **2x** average month-over-month growth than their Opt-In, CC not required counterparts and slightly less average churn.



LTV is Where Opt-in Free Trials Shine.



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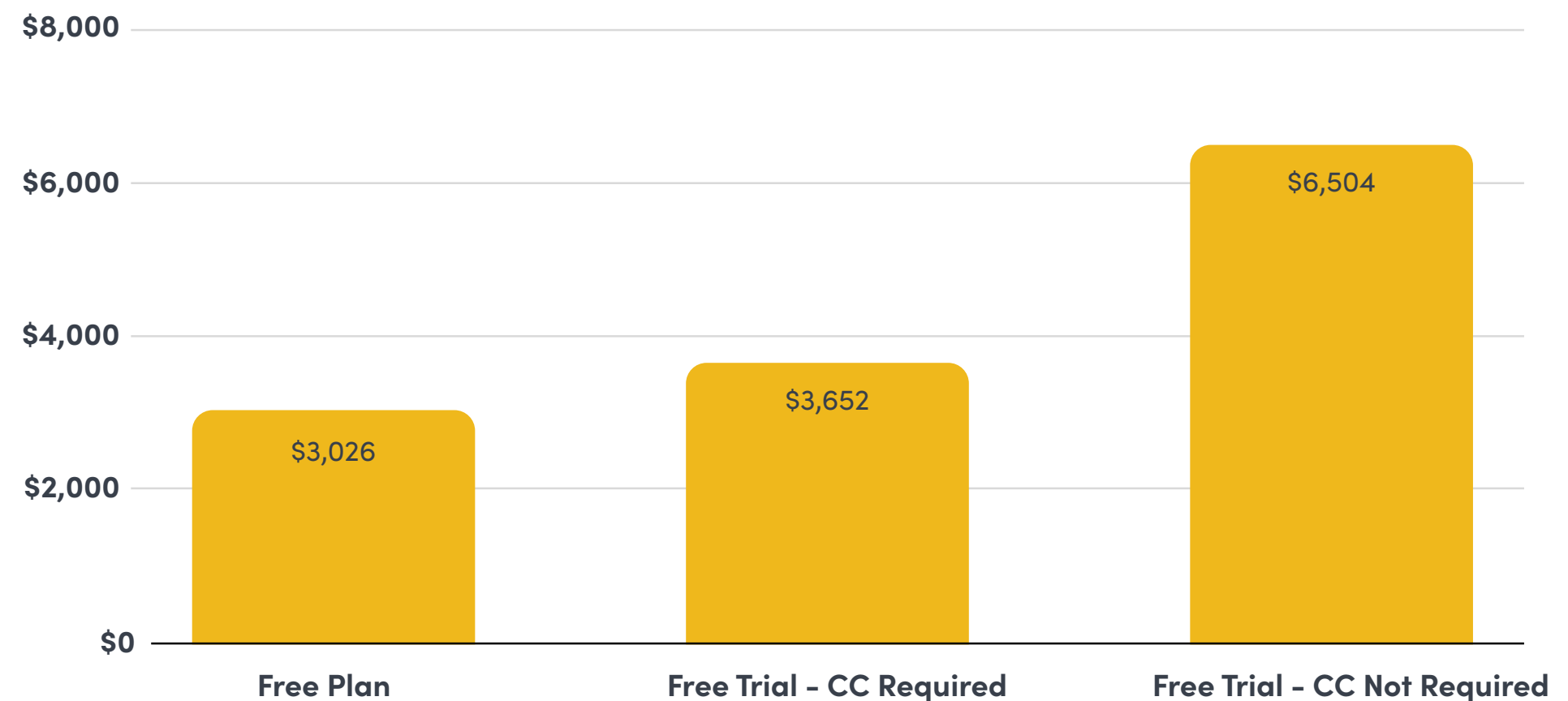
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Asia Orangio, CEO & Founder

Of course there are pros and cons to any model in any market context, but something to consider would be LTV when comparing the top three choices.

Free Plans and Opt-Out Free Trials saw relatively the same LTV, but **Opt-In Free Trials could mean up to 2x the LTV.**

NOT REQUIRING A CREDIT CARD, HOWEVER, CAN MEAN UP TO 2.2X THE LTV



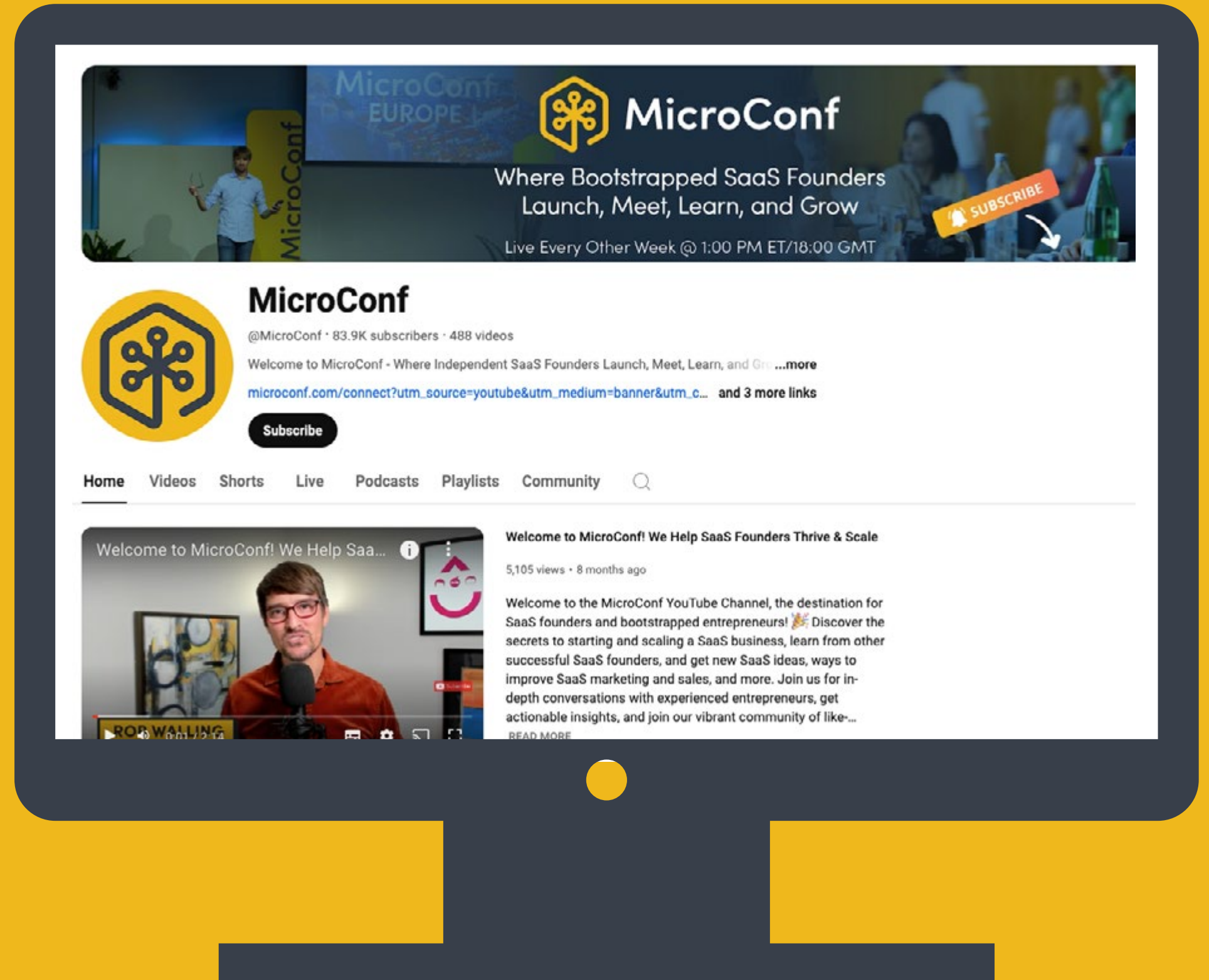


Check out the **MicroConf YouTube channel**.

This incredible resource of **over 400 videos** is packed with valuable insights, actionable advice, and inspiring stories from successful entrepreneurs who have been in your shoes. From expert talks to panel discussions, MicroConf's videos cover a wide range of topics that are essential for growing your SaaS startup.

Learn about customer acquisition, product development, pricing strategies, and so much more. Don't miss out on this incredible opportunity to learn from the best in the business – subscribe to the MicroConf YouTube channel today!

WATCH NOW



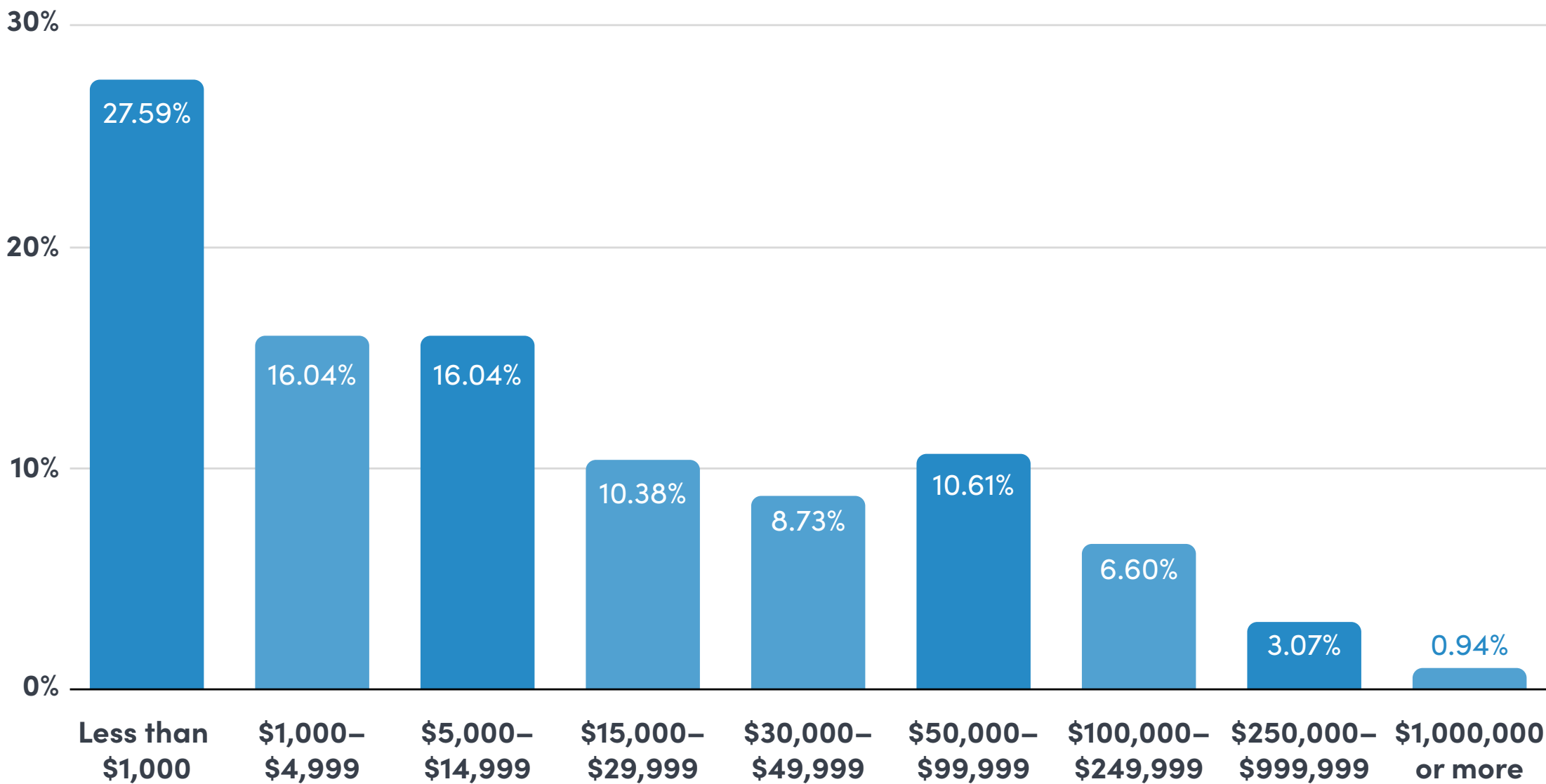
SaaS Metrics



Your SaaS metrics are vital signs that provide crucial insights into your business's health. In this section, we'll explore critical metrics such as Monthly Recurring Revenue (MRR), Month-over-Month Growth, Churn Rate, and Customer Lifetime Value (LTV). By tracking these metrics, you'll gain a deeper understanding of your business's performance, enabling informed decision-making.

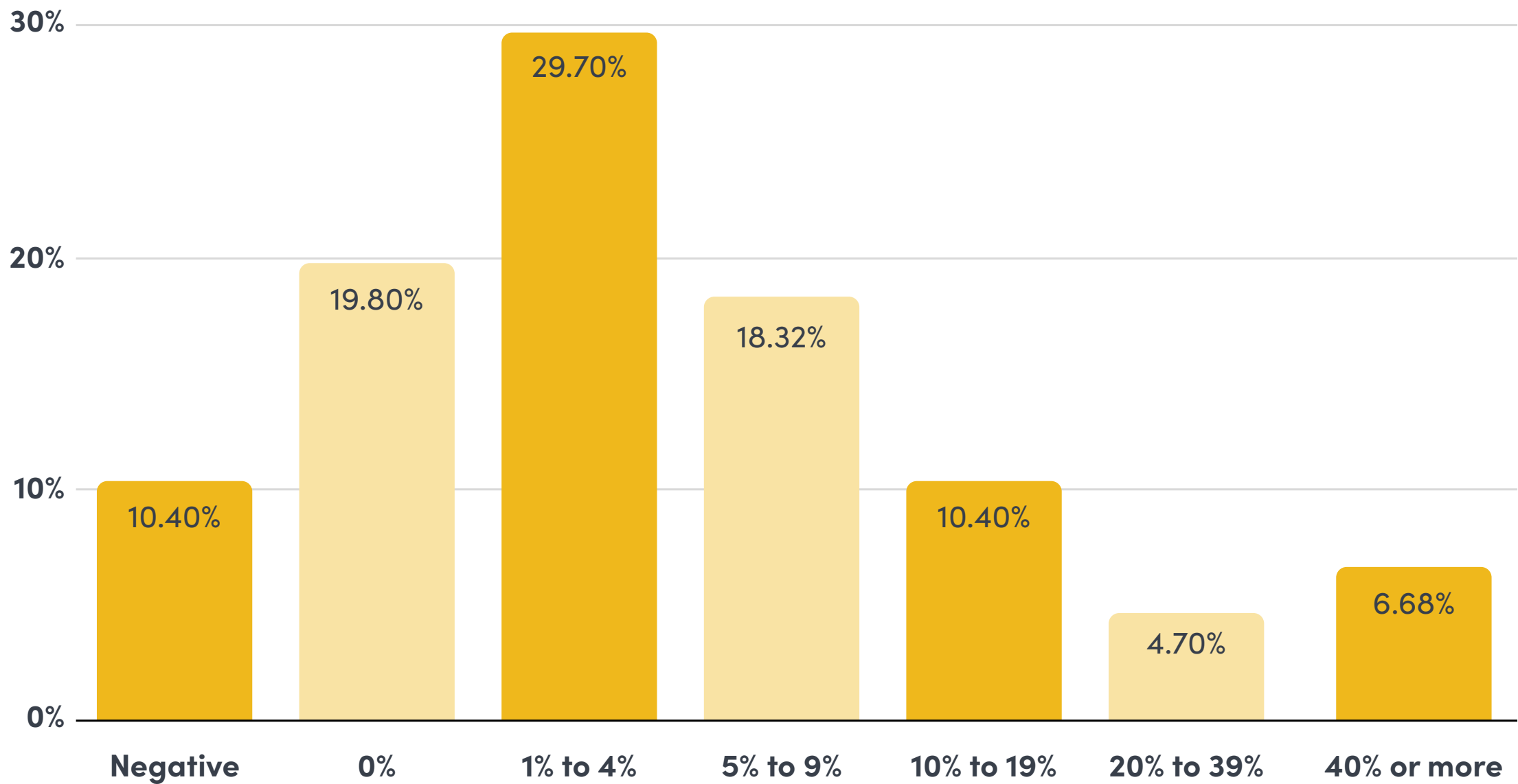
What is your Monthly Recurring Revenue (MRR)?

MONTHLY RECURRING REVENUE (MRR)

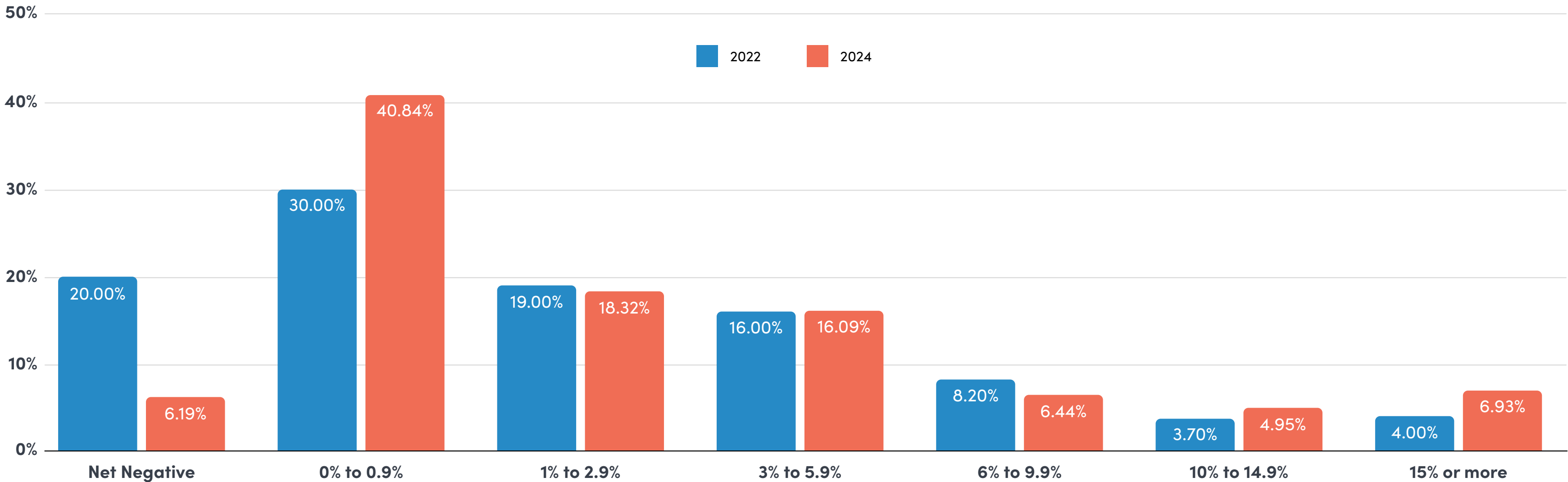


What is your average month-over-month growth rate?

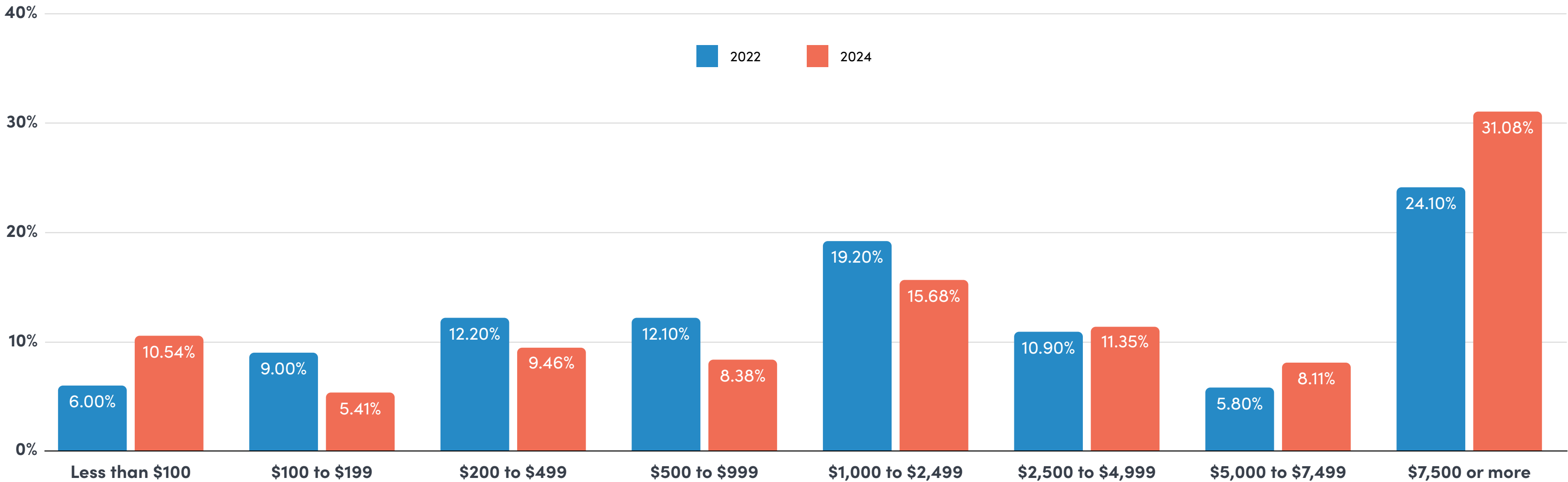
AVERAGE MONTH-OVER-MONTH GROWTH RATE



Average Monthly Revenue Churn



Average Customer Lifetime Value (LTV)



Marketing



63%

of respondents **do not**
use **paid advertising**.

As we look at the impact of marketing spend and the markets that the founders surveyed are working with, we found that the companies that do leverage ad buys experience accelerated growth.

This section looks at the outcomes of those who are leveraging paid ads and how quickly they return investment.

Marketing Highest Impact Marketing Activities

Many SaaS companies appear to be leveraging lower cost activities such as **SEO**, **word of mouth** and **content marketing**. This leads to question if a little more investment in other activities could impact growth?



LTV greatly influences marketing channel investments.

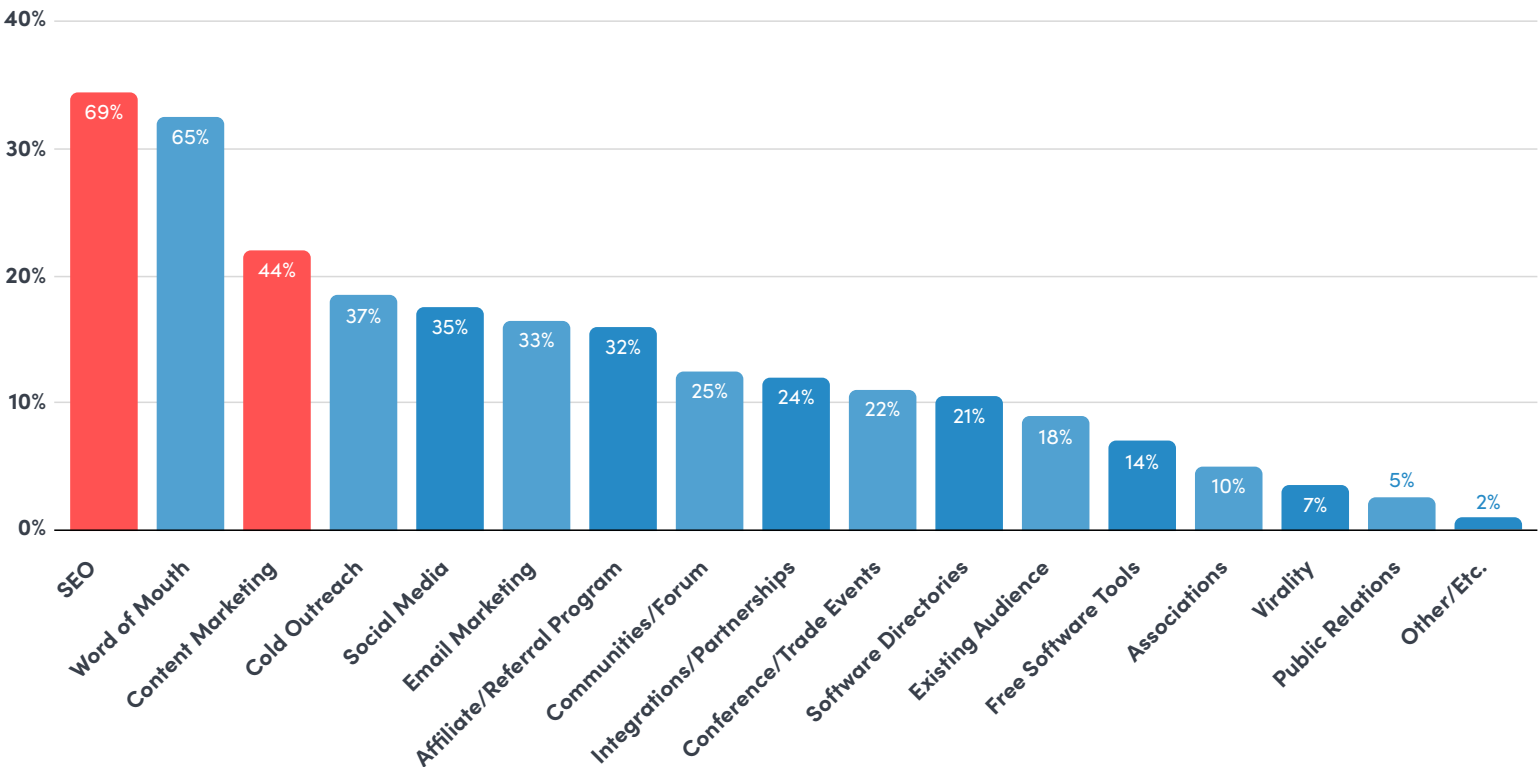


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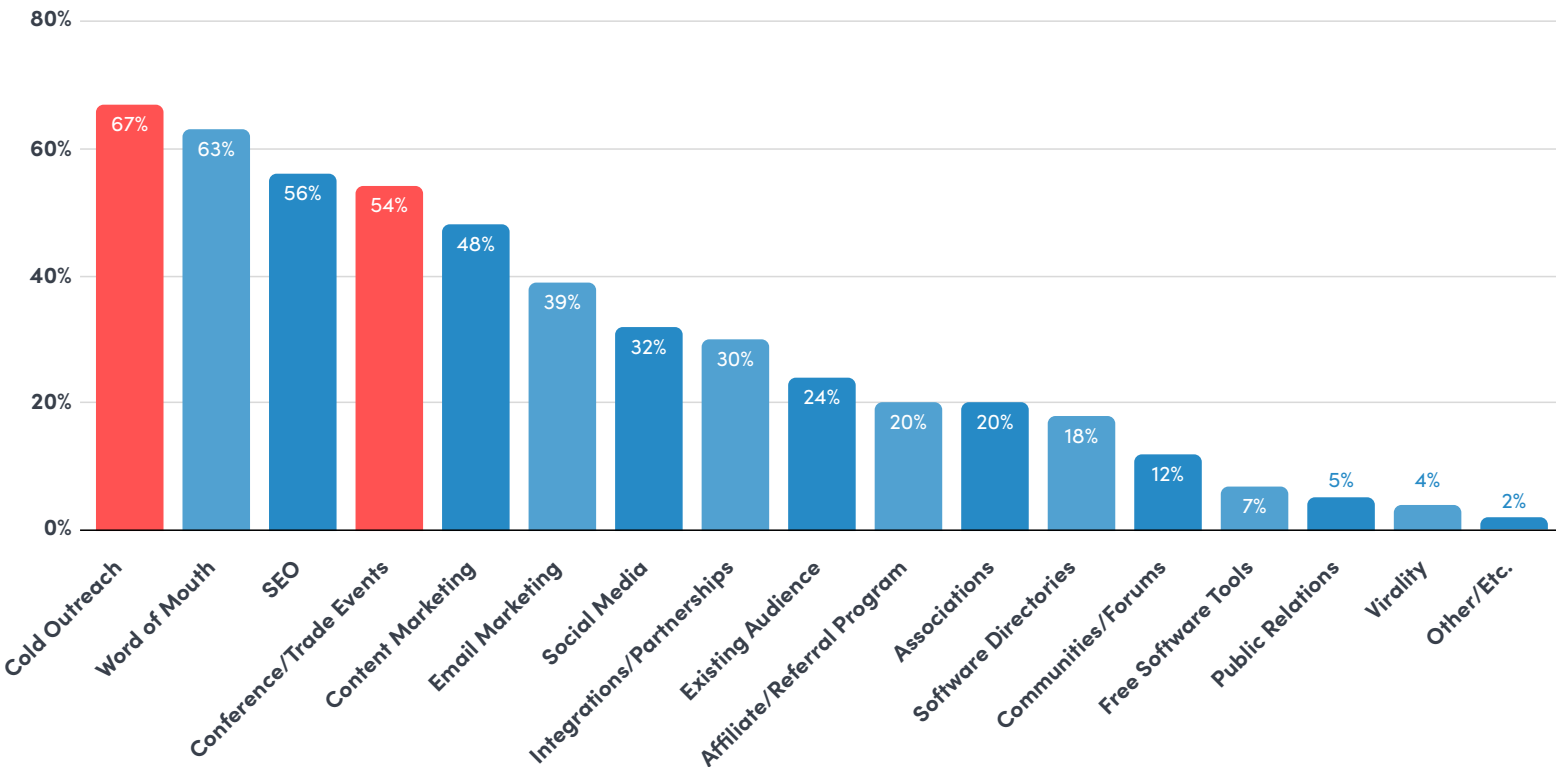
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COMPANIES WITH LESS THAN \$5K LTV INVESTED MORE IN SEO AND CONTENT MARKETING



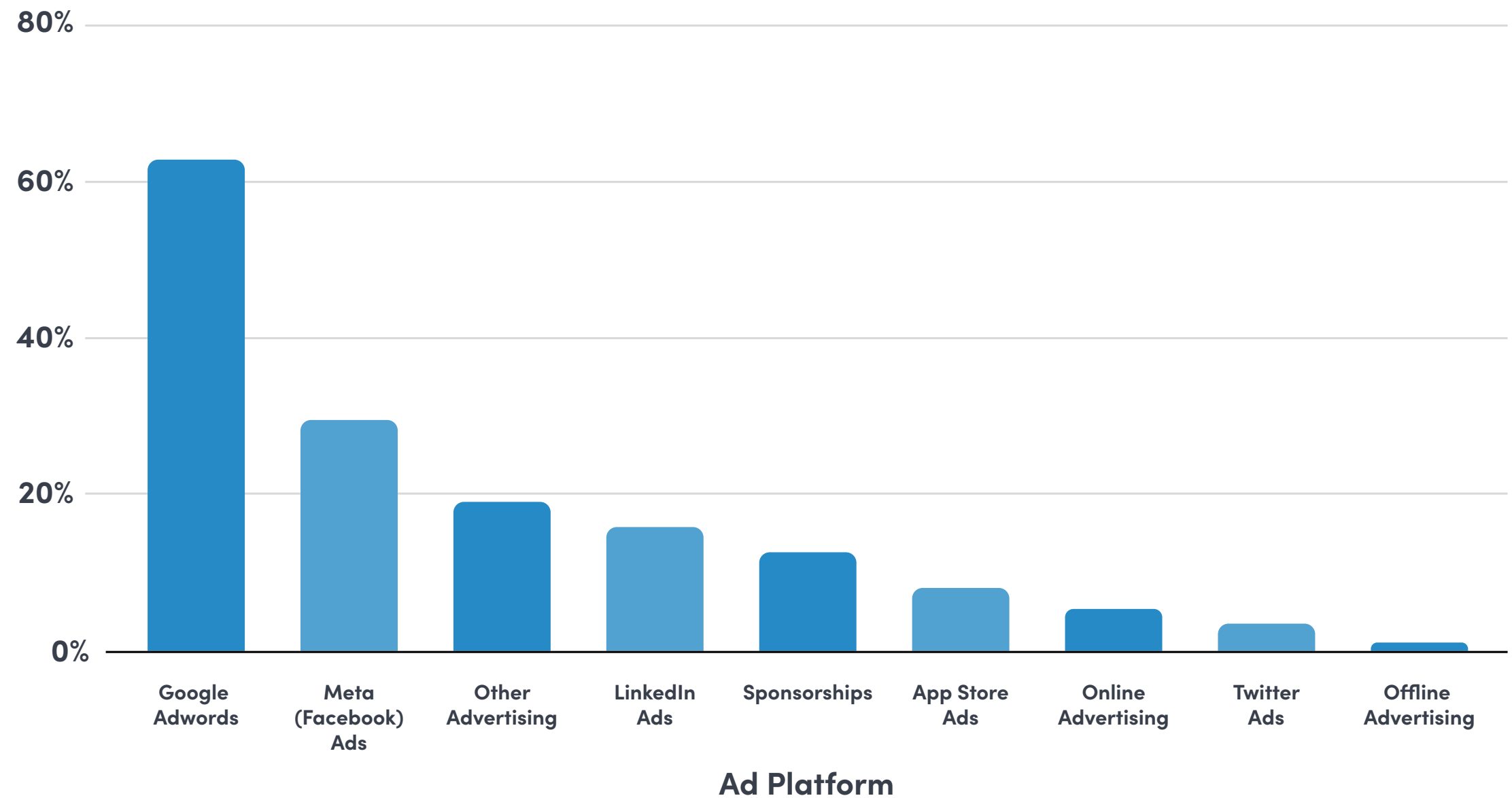
COMPANIES WITH MORE THAN \$5K LTV INVESTED MORE IN COLD OUTREACH AND CONFERENCES



Marketing

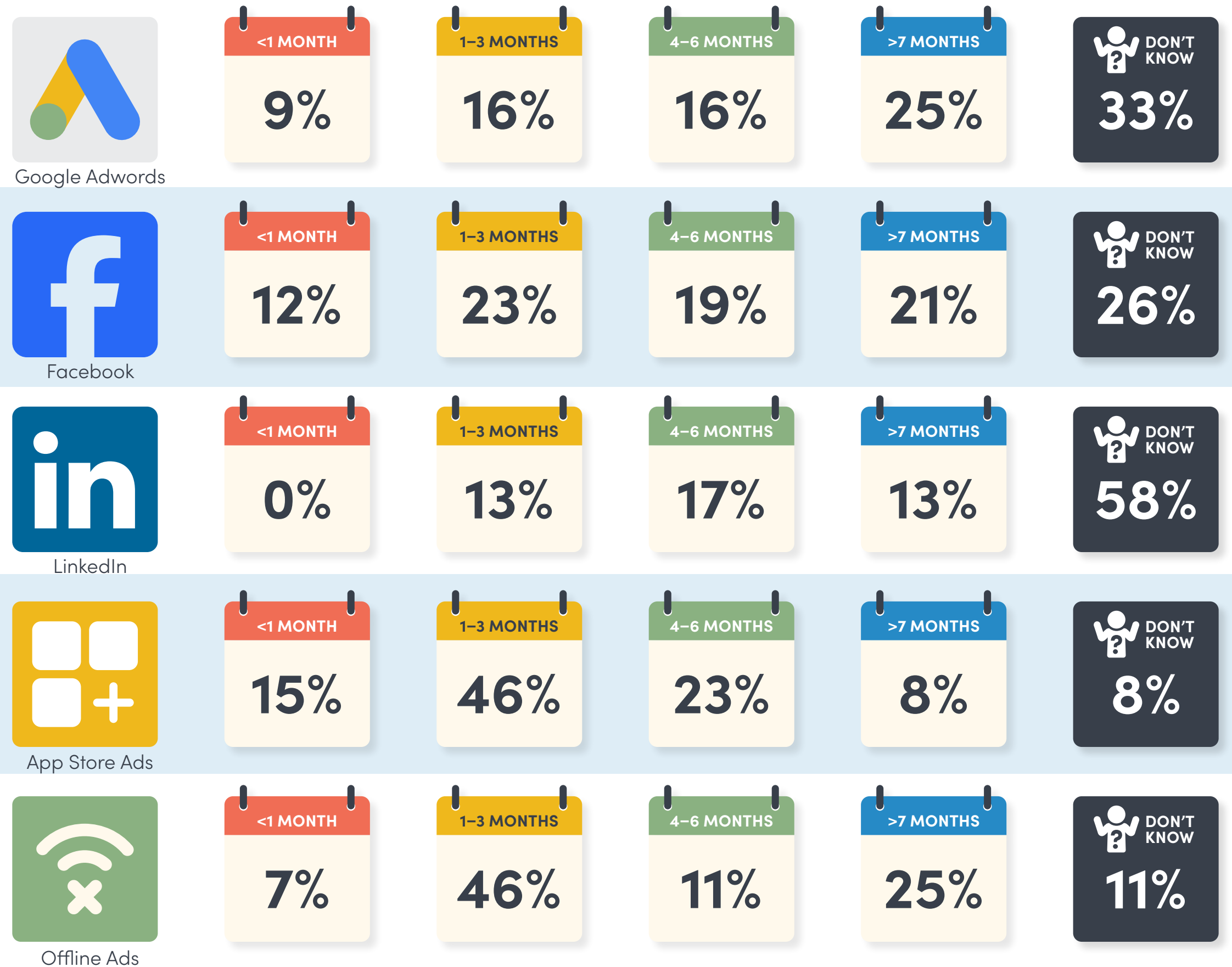
Which advertising channels have most significantly increased your revenue?

ADVERTISING CHANNELS USED TO INCREASE REVENUE



Marketing Advertising Return on Investment (ROI)

Advertising is often the most expensive marketing tactic. Most respondents use Google Adwords, Facebook Ads, and LinkedIn Ads, however **a shocking 35% say they don't know the ROI** on this expensive tactic. When we combine that with long ROI times (7mo+) we find that **57% of respondents are either waiting a long time for a return or don't know if their advertising is working.**





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"Our fear is all the same. It's that our product's gonna flop, that it's not gonna take off. We openly talk about it and I'm like, 'Oh, this is so normal.' And so then it makes it feel a little bit more fixable, relatable, and approachable, and we can all have ideas for how to just get past this."

—Chase H, Founder & Mastermind Member

Growth

Over the years, we've discovered that the real gold lies in the growth analytics we've managed to uncover. What founders are dying to know is how their decisions can make or break their growth opportunities. In this section, we dive deep into how various factors dance with revenue growth. But remember, just because two factors are closely related doesn't necessarily mean that one directly causes the other.



2.2x

COMPANIES WITH
FULL-TIME FOUNDERS GROW
2.2X FASTER THAN THOSE WITH
PART-TIME FOUNDERS.

1.7x

COMPANIES WITH ONE
OR MORE DEVELOPER
FOUNDERS GROW 1.7X FASTER
THAN FULLY NON-TECHNICAL
FOUNDER TEAMS*.

(*based on median MRR monthly growth)

Solo-founders make growth waves, but Founder-Trios can grow 2–3x faster.



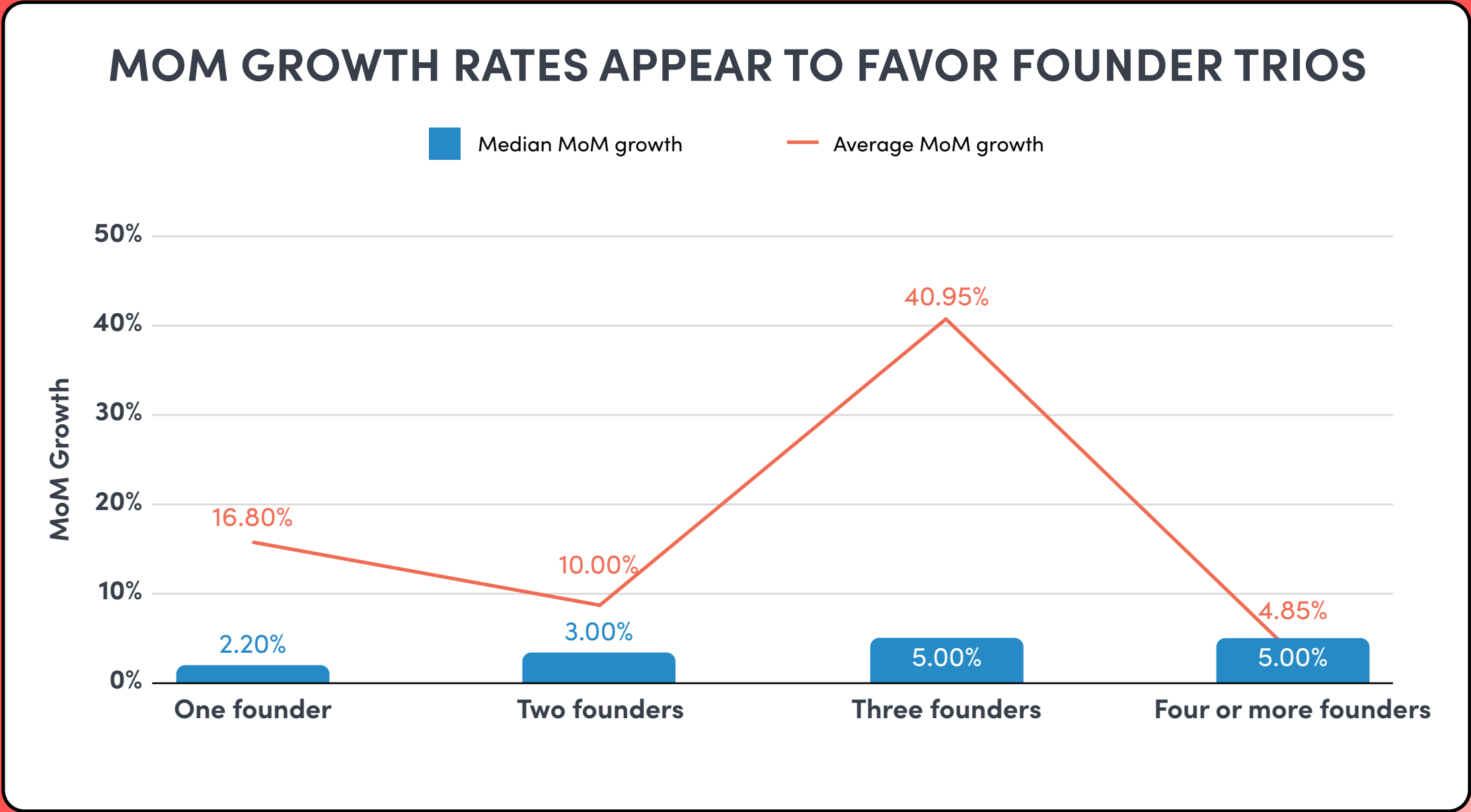
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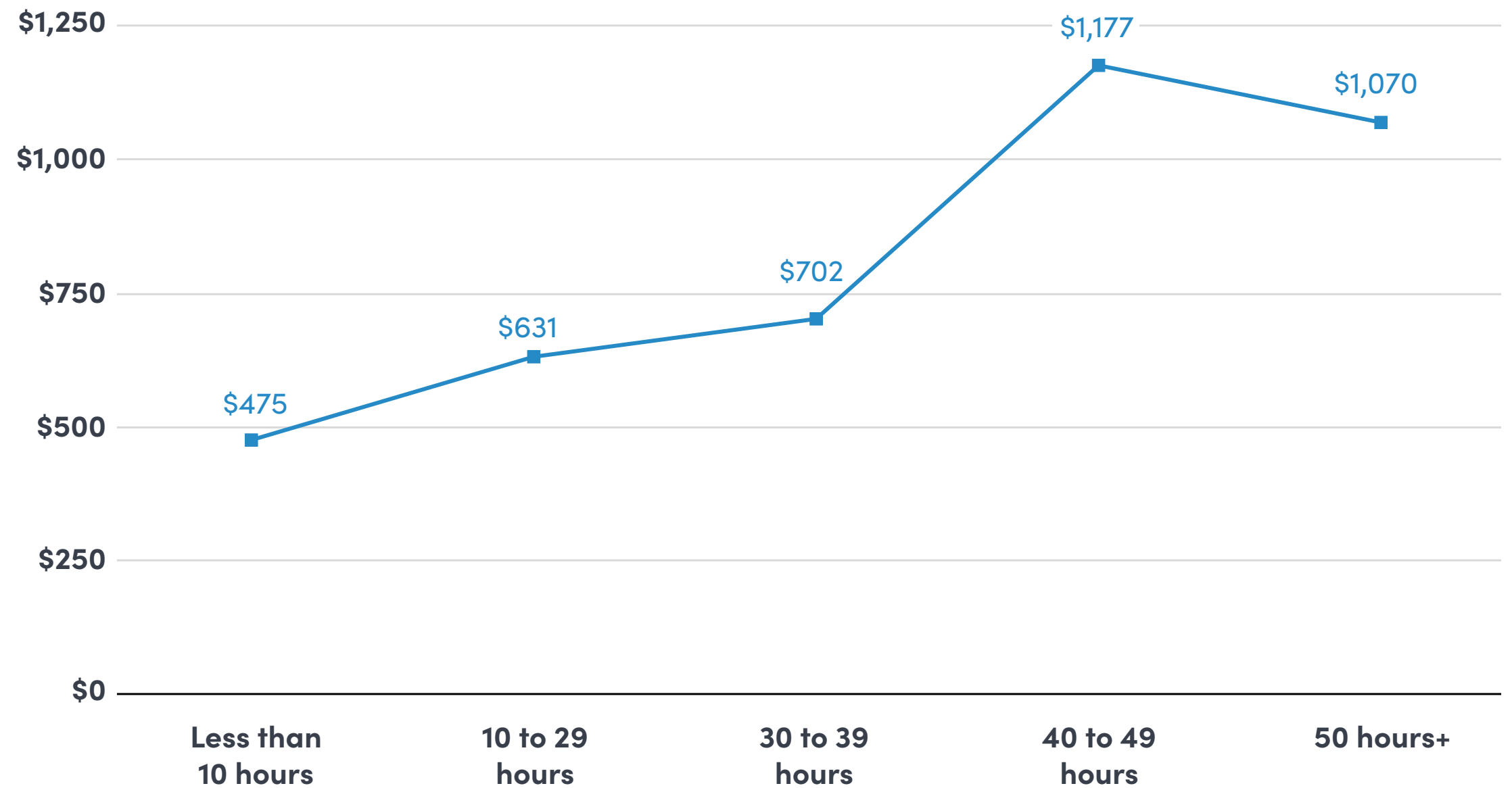
A **single, solo founder** can see anywhere from **2% - 17%** month-over-month growth on their own, and adding a second founder can increase this by a small percentage. But **Founder-Trios** seem to shine — seeing as much as **2–3x** month-over-month growth.

Interestingly, however, there are diminishing returns when you add more founders. **Four or more founders** can actually decrease average month-over-month growth by **-4x**.



Growth
**Hours Worked v.
Growth**

AVERAGE MONTHLY MRR GROWTH BY HOURS WORKED



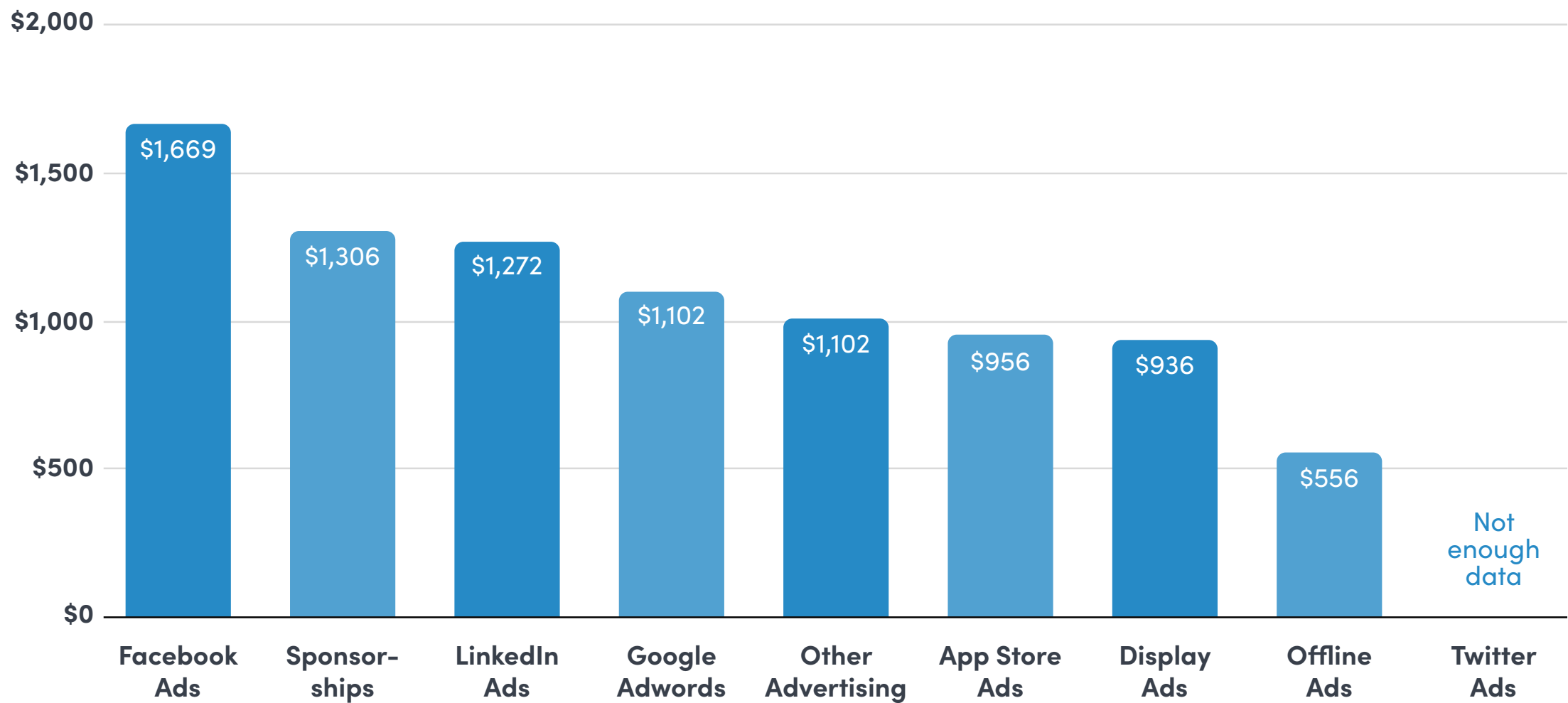
Growth

Advertising Channels v. Growth

Analyzing the relationship between a company's average Monthly Recurring Revenue (MRR) growth and the advertising channels they use can provide insights into which channels are most effective for driving growth. Companies experiencing the highest growth rates may be using advertising channels with the greatest potential for success.

However, it's important to note that while this comparison offers valuable information, other factors also contribute to a company's growth, and these should be considered alongside the choice of advertising channels.

AVERAGE MONTHLY MRR GROWTH BY AD CHANNEL



Growth
Monthly Price v.
Growth

AVERAGE MRR GROWTH BY MONTHLY PRICE



Growth
**Customer LTV v.
Growth**

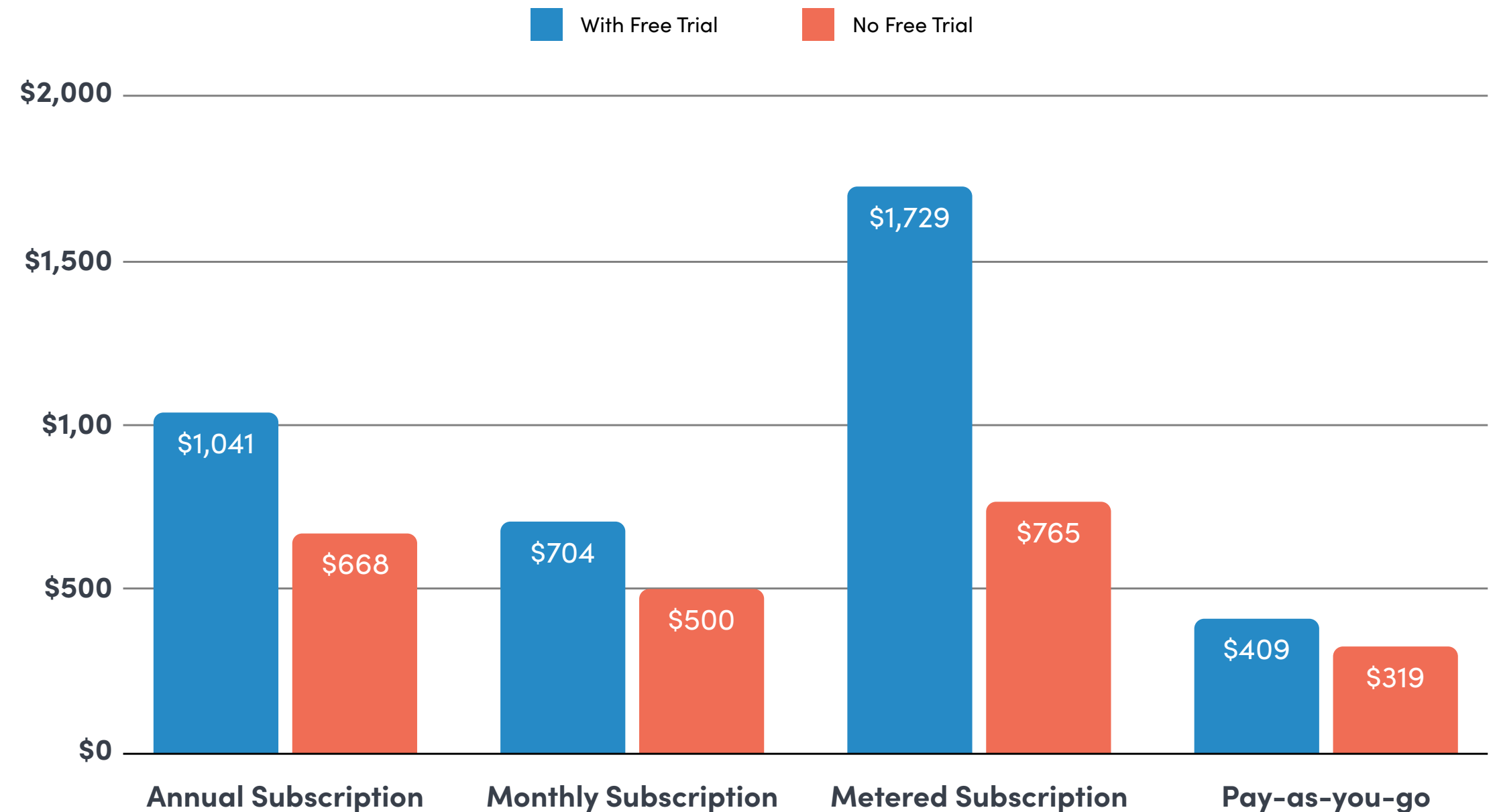
AVERAGE MONTHLY MRR GROWTH BY CUSTOMER LTV



Growth

Impact of Free Trials On Growth Based on Pricing Structure

AVERAGE MONTHLY MRR GROWTH BY PRICING STRUCTURE



Outside Funding



23%

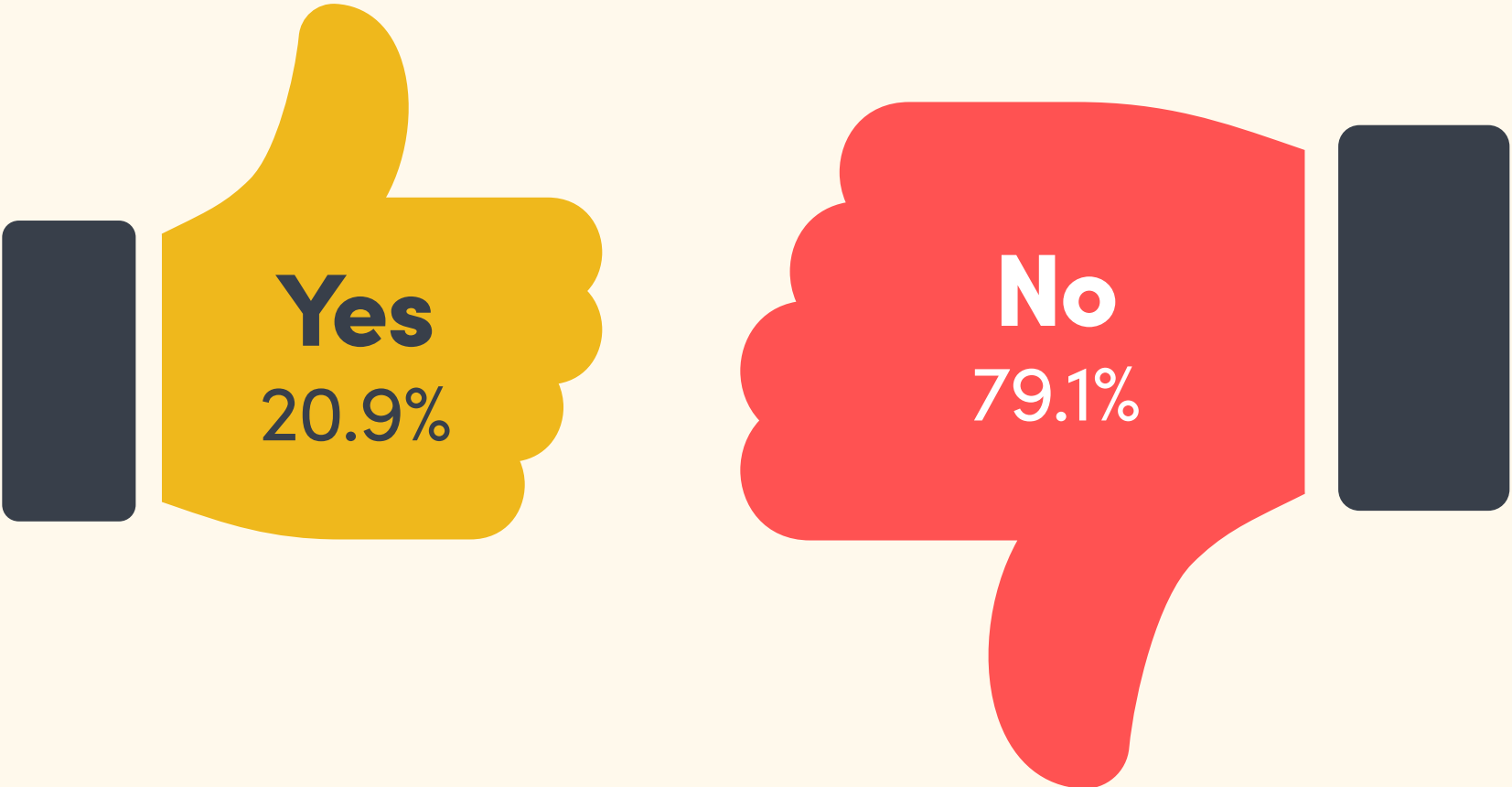
of respondents are actively considering taking outside funding in 2024.

For 2024, we wanted to explore outside funding, the sources bootstrapped founders are most amenable to, and how much funding they are seeking.



Outside Funding

Have you taken outside funding for your current company?

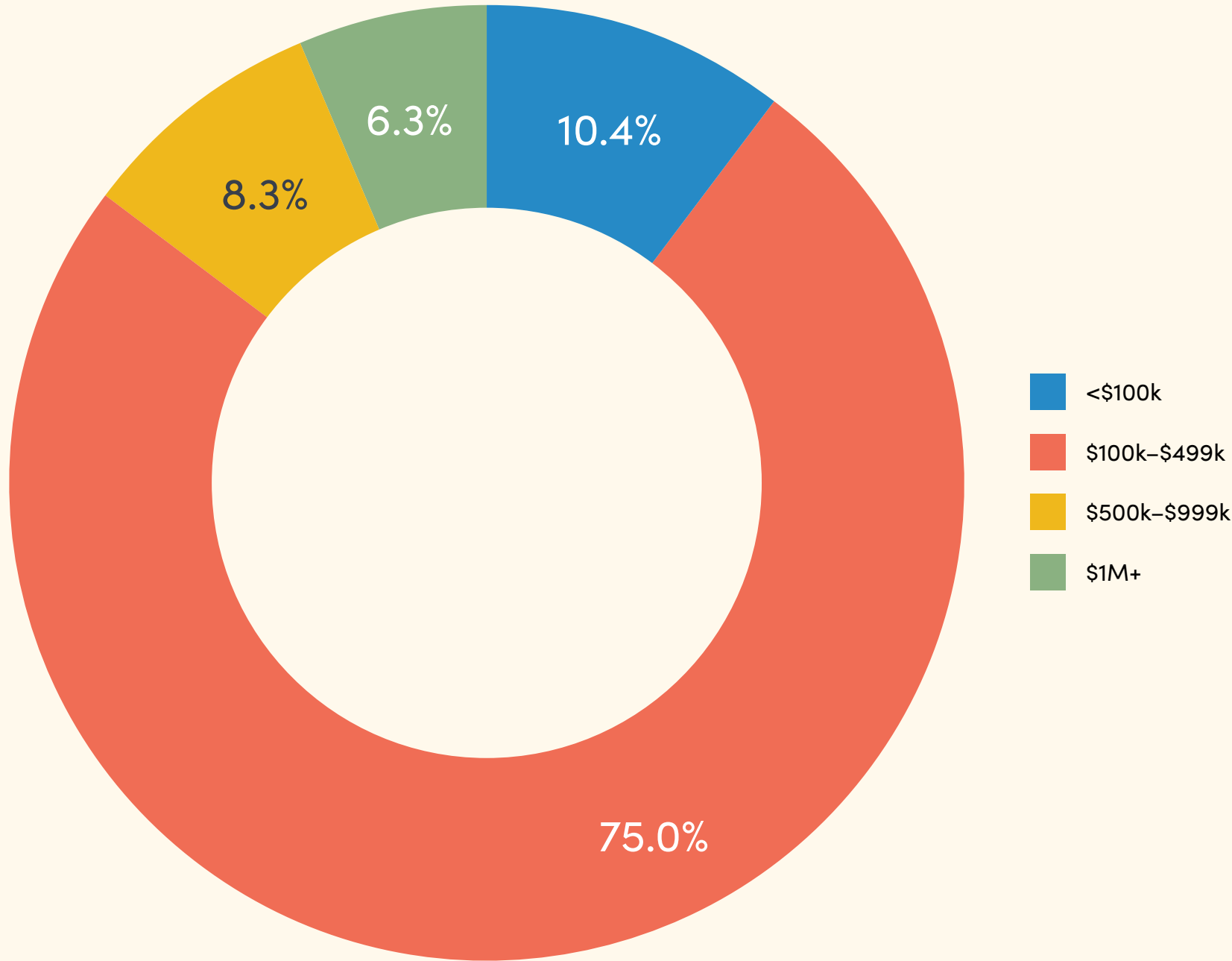


HOW MANY ROUNDS OF FUNDING HAS YOUR COMPANY RAISED?

One	86%
Two	13%
Three	1%
Four or more	0%

Outside Funding

How much outside funding has your company raised?

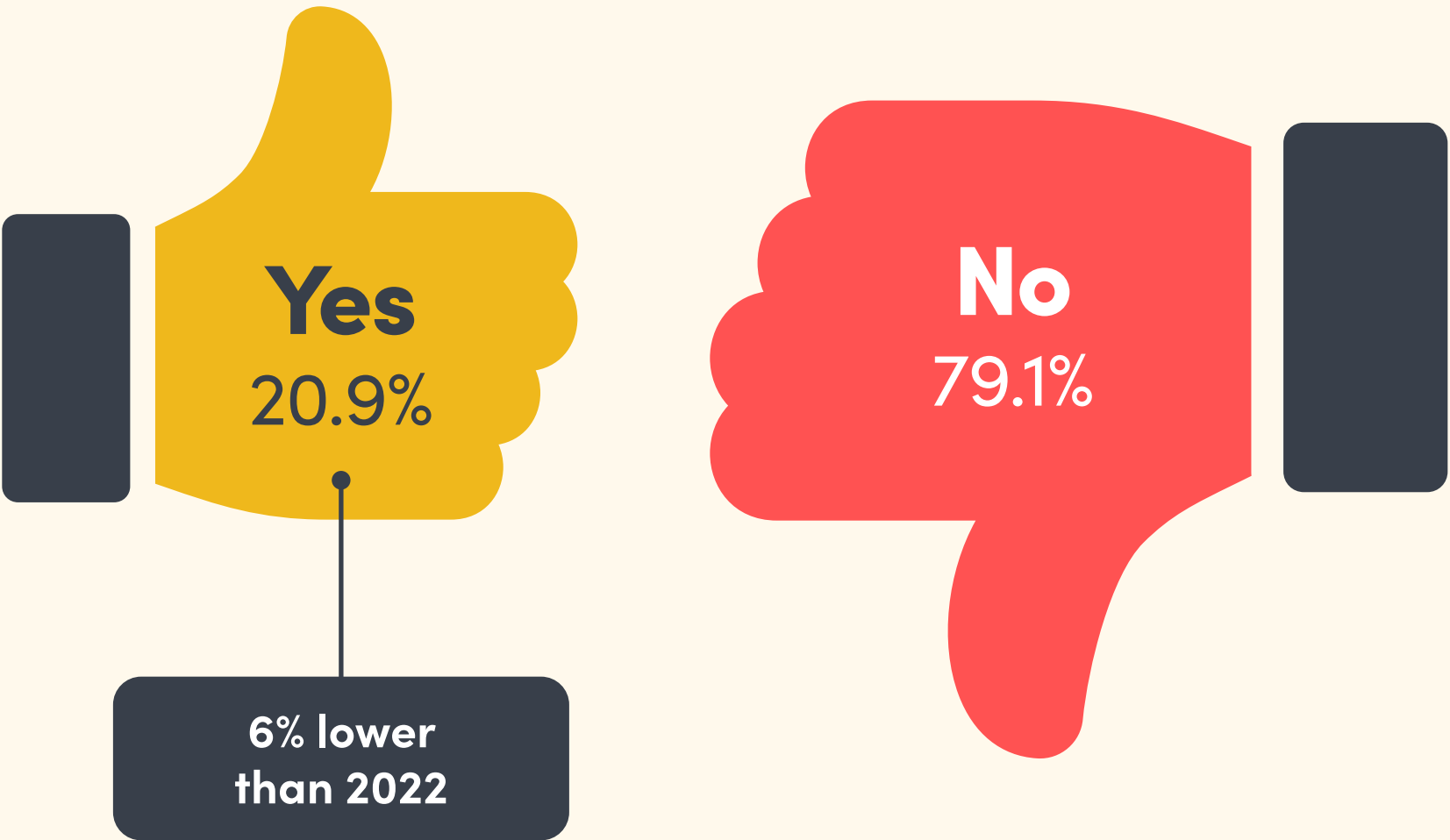


TOP 7 SOURCES OF OUTSIDE FUNDING

Indie Funding	40%
Accelerator	35%
Angel Investments	21%
Friends & Family	20%
Debt	9%
Venture Capital	8%
Grants	4%

Outside Funding

Will you be seeking outside funding in the next 12 months?

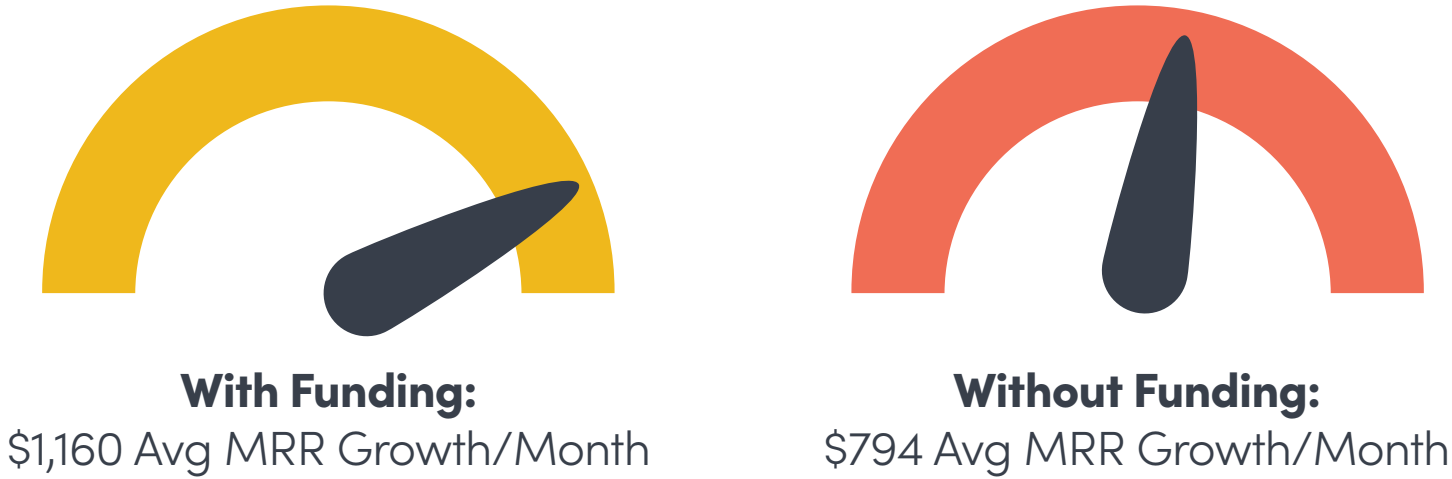


TOP 7 SOURCES OF FUNDING SOUGHT IN NEXT 12 MONTHS

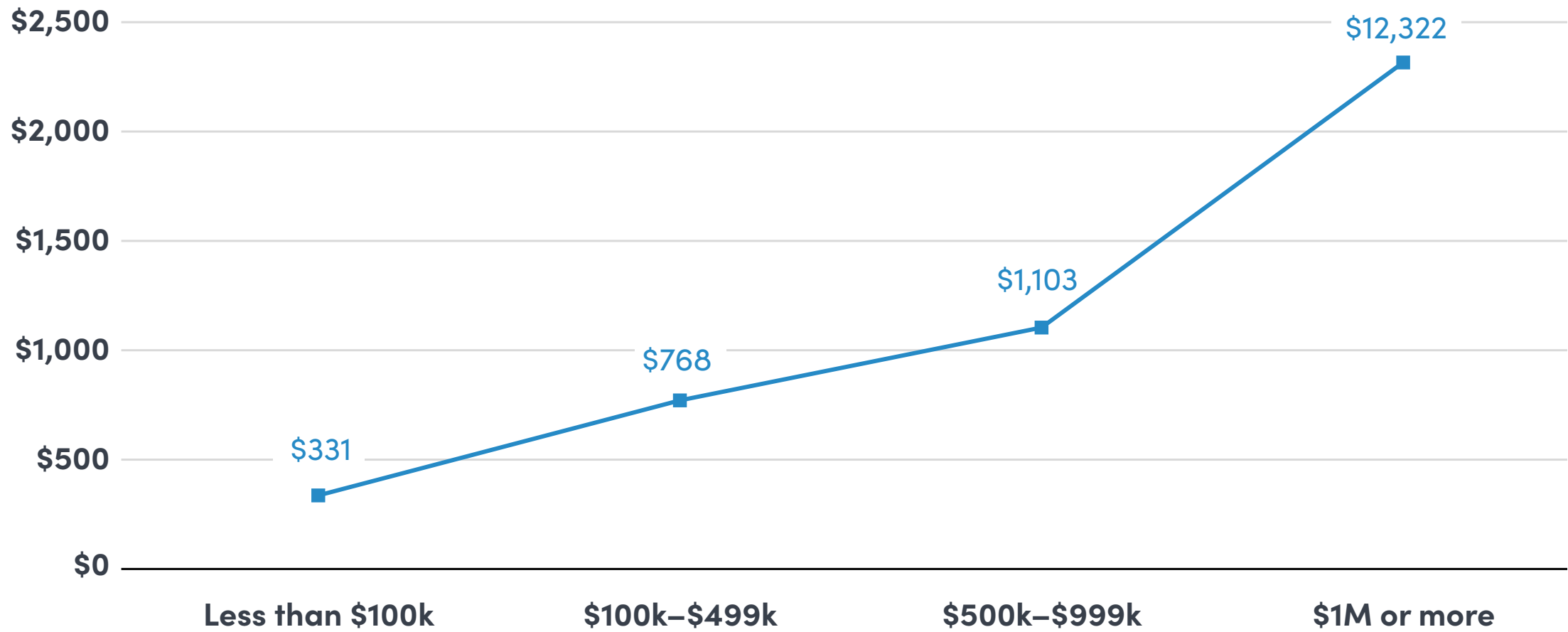
Angel Investment	65%
Venture Capital	52%
Indie Funding	30%
Grants	17%
Debt	17%
Accelerator	17%
Friends & Family	13%

Outside Funding
Impact of Funding
on Growth

FUNDED v. UNFUNDED GROWTH



FUNDING RAISED v. GROWTH



Exits



21%

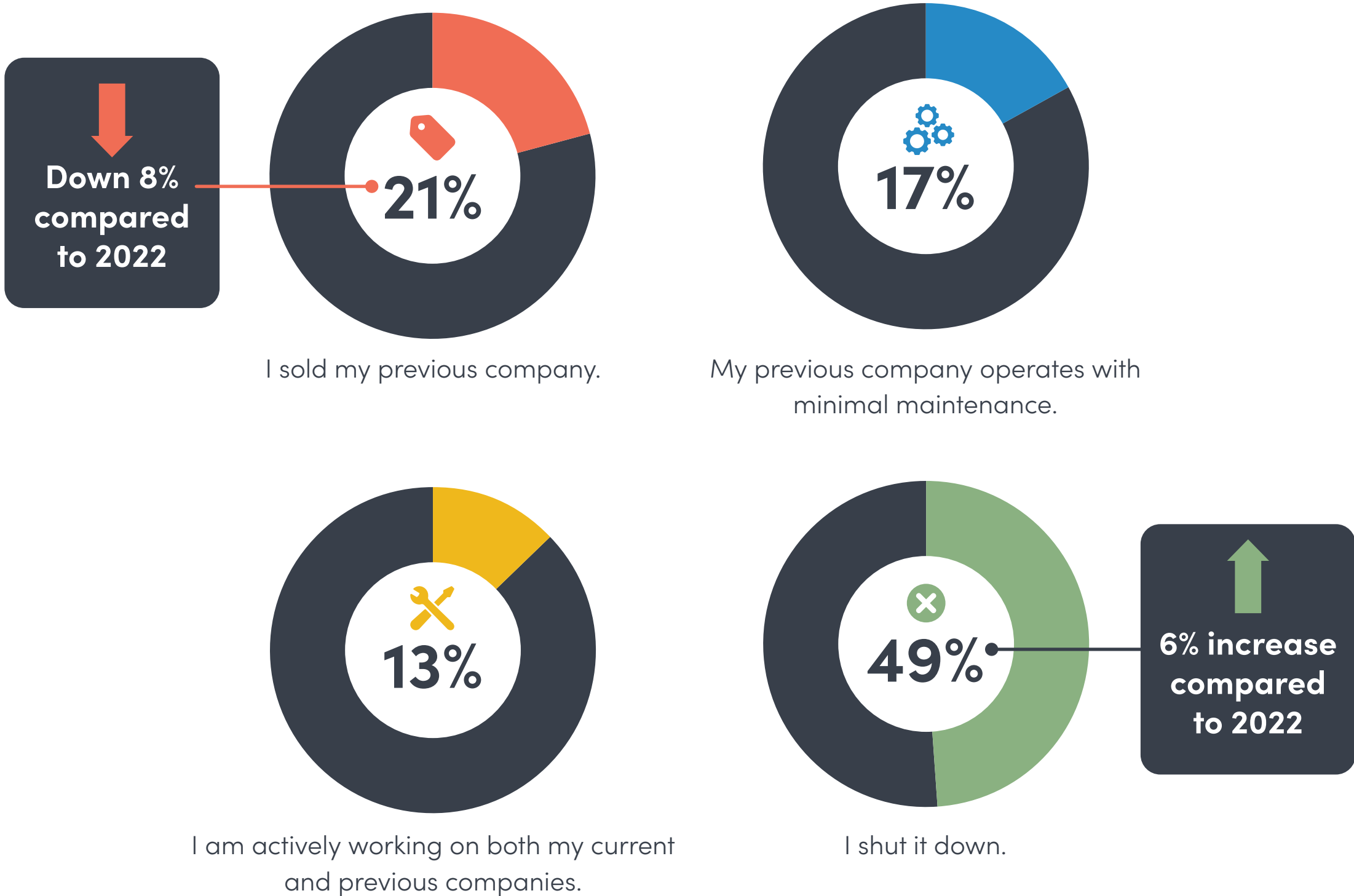
of respondents have sold a prior SaaS company.

When building your SaaS business to sell it's helpful to learn from those who have already exited. We asked for a snapshot of company metrics for those who sold, including run rates, sales multiples, purchasing entities and more.

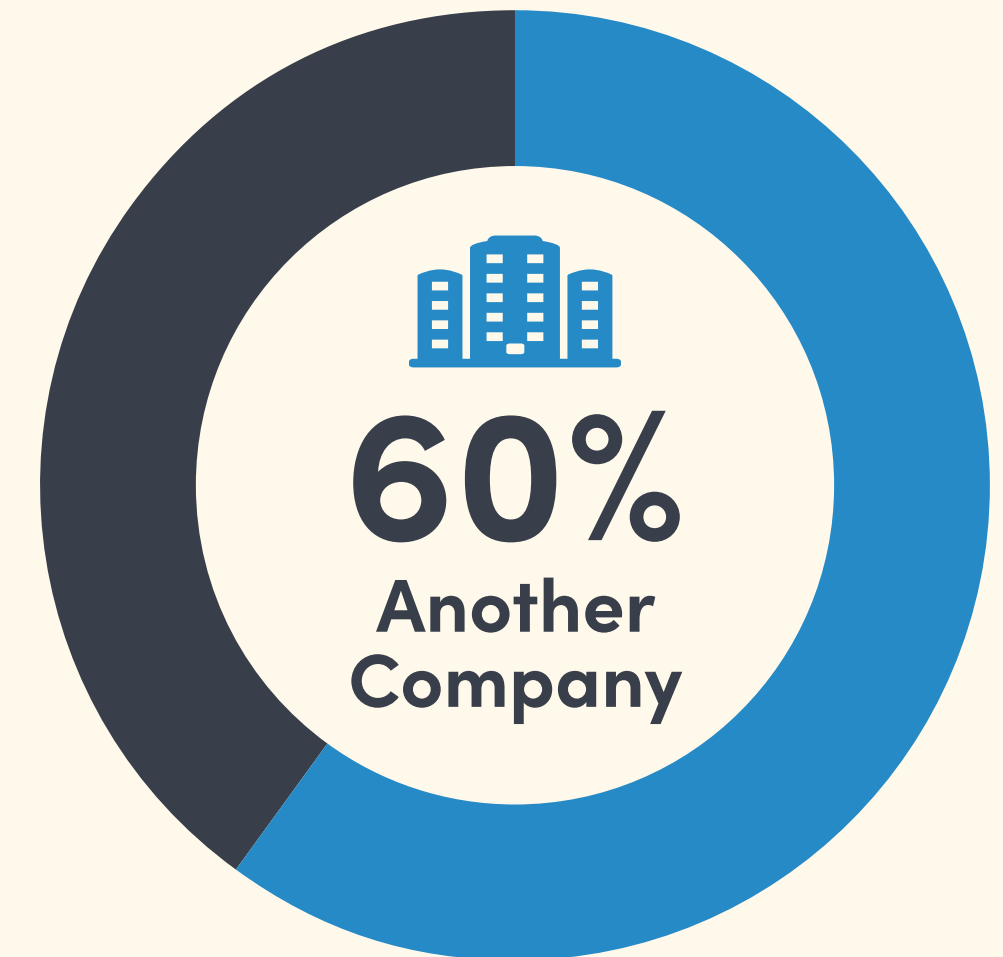
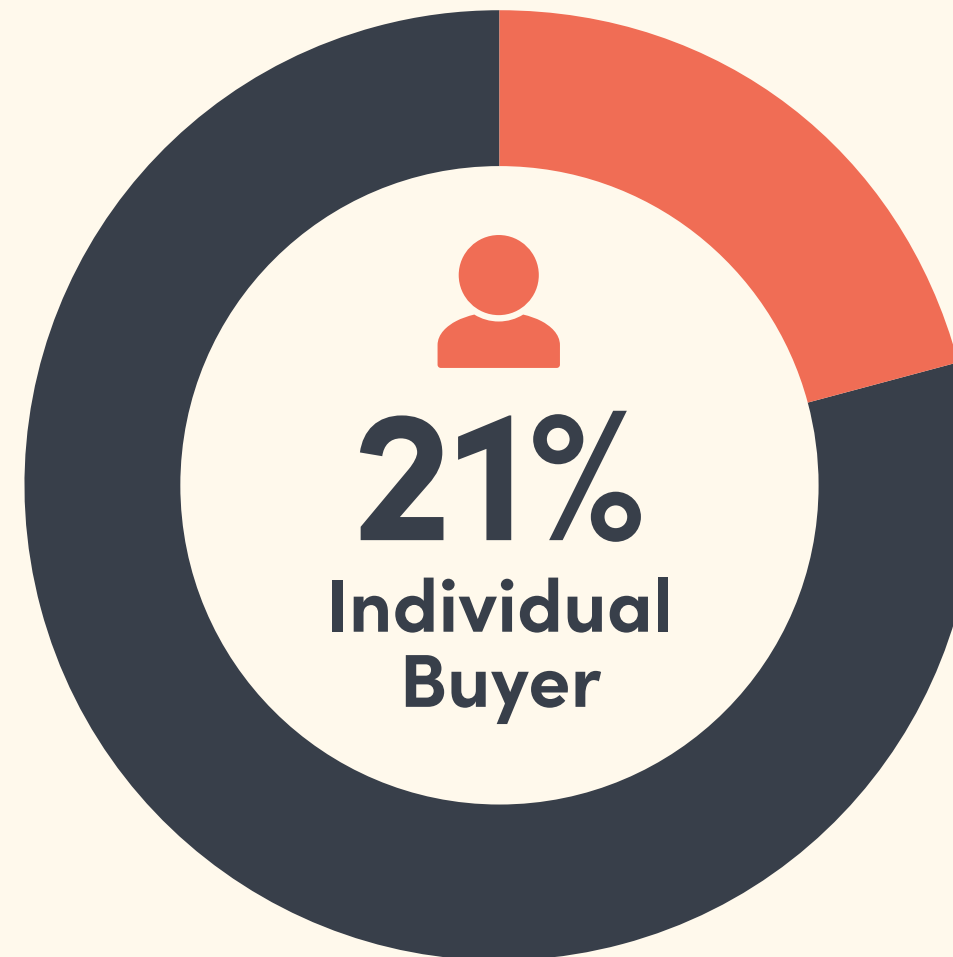


63%
of founders
surveyed
have started
more than
one business.

WHAT IS THE STATUS OF YOUR PREVIOUS COMPANY?



What type of entity purchased your previous company?

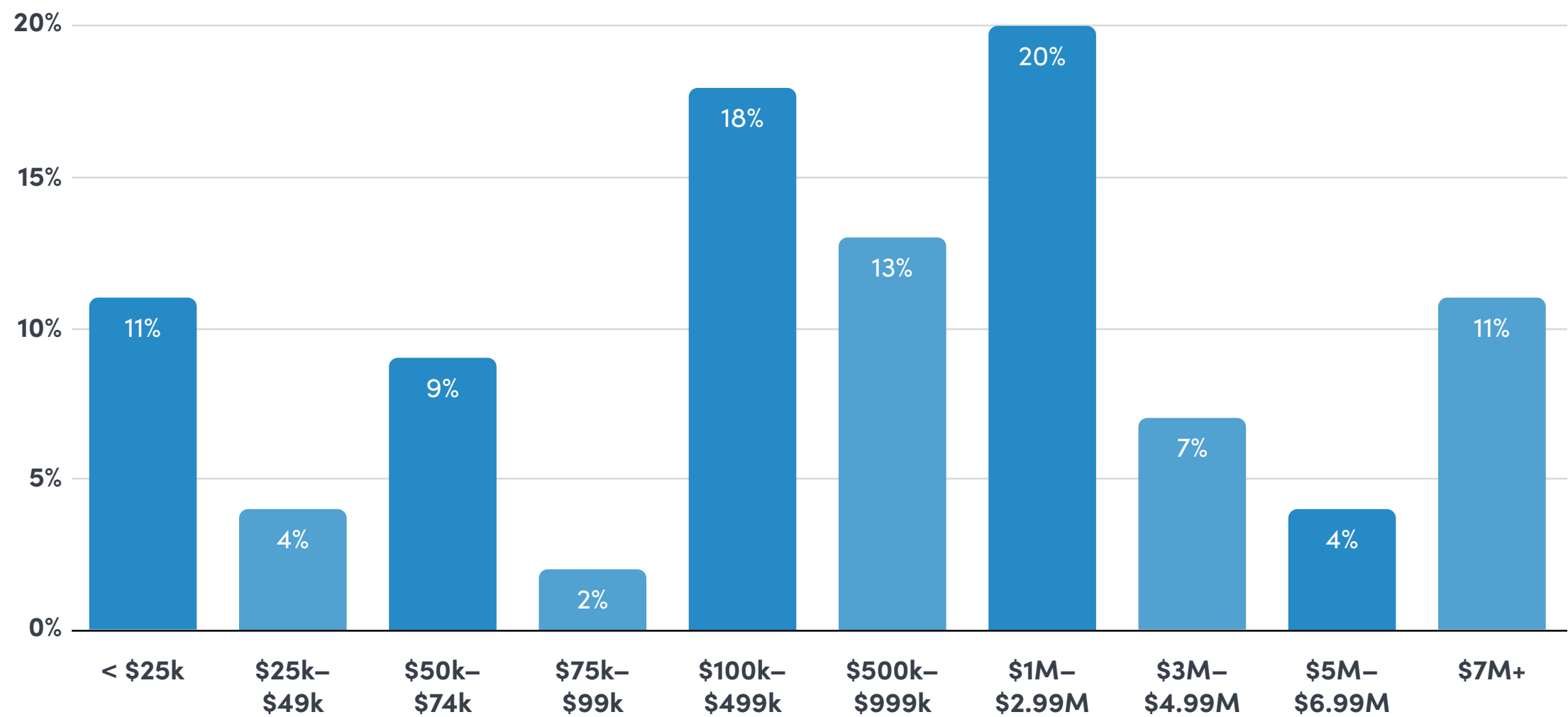


*9% sold to other types of entities.

Exits

At the time you sold your previous company, what was your forward looking annual run rate?

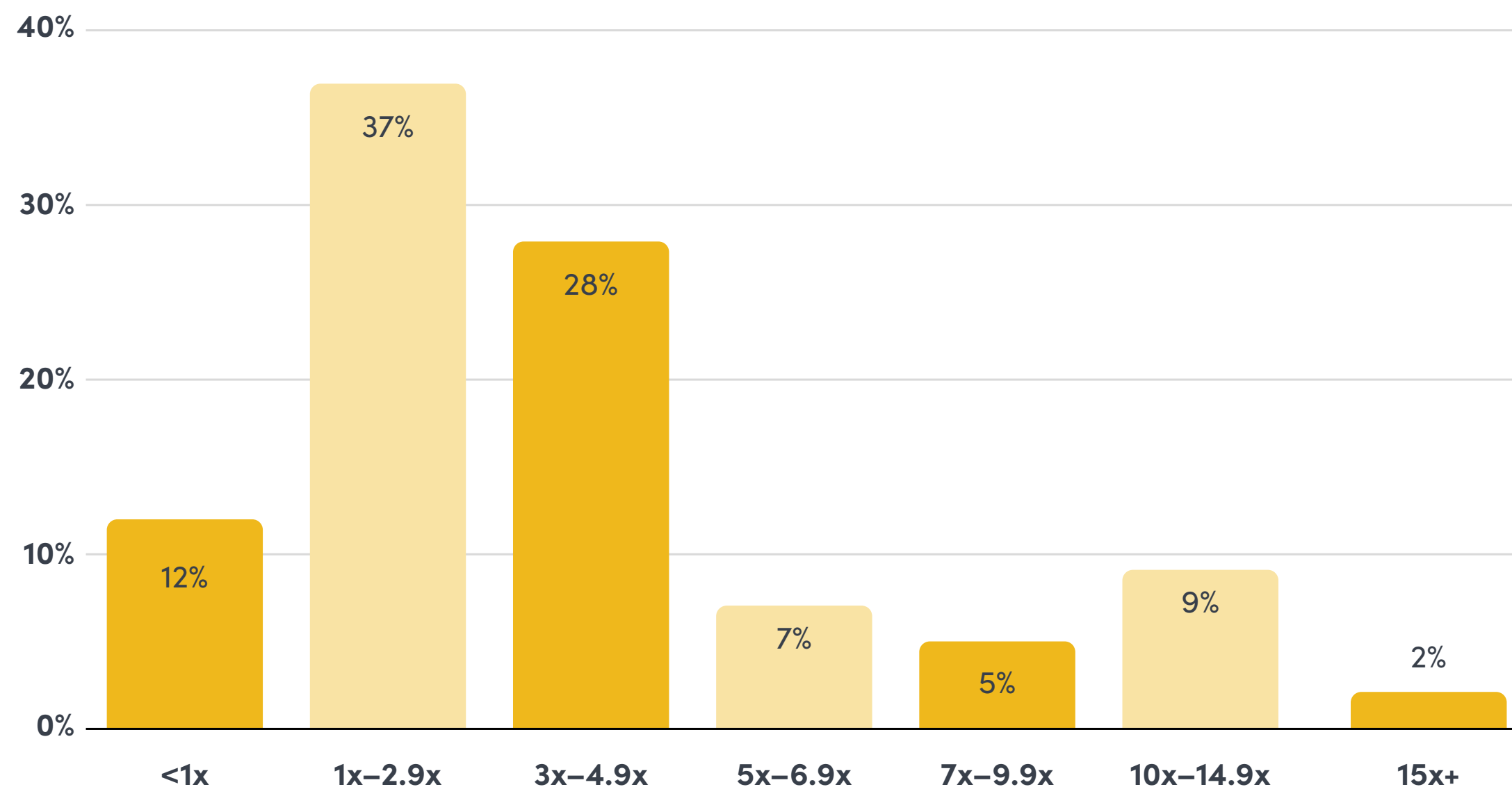
RUN RATE PRIOR TO COMPANY BEING SOLD



Exits

**What multiple of
your forward-looking
run rate was your
previous company's
total sale price?**

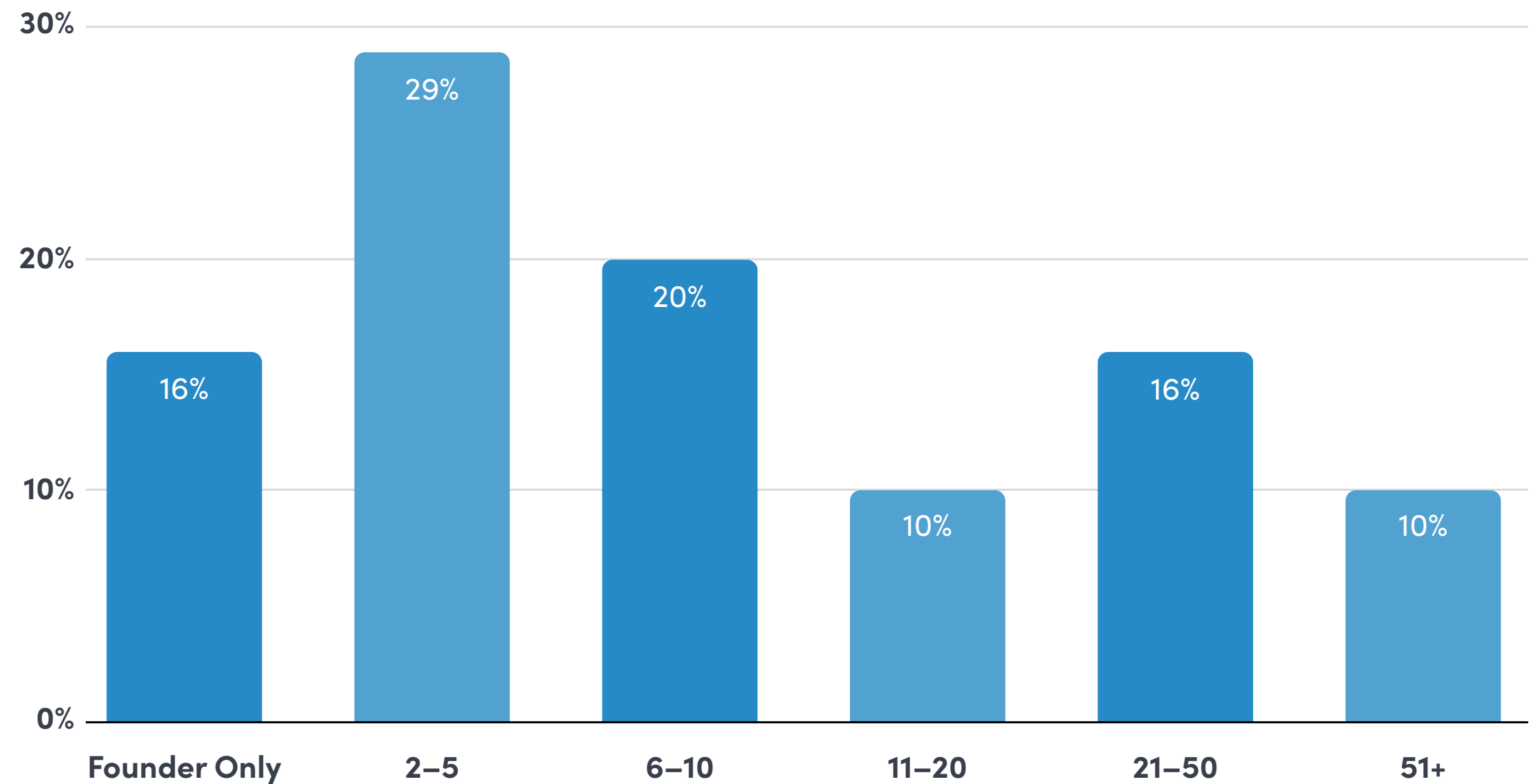
PREVIOUS COMPANY EXIT MULTIPLE



Exits

At the time of your company's sale, how many employees did it have?

PREVIOUS COMPANY NUMBER OF EMPLOYEES



Appendix

Methodology

Overview

Since 2011 MicroConf has helped startup founders grow faster through access to education from world-class experts and the world's original community of ambitious, non-venture track startup founders.

MicroConf has become the mothership for founders looking to learn and share strategies, tactics, advice, and inspiration.

The purpose of this report is three-fold:

- 1) To gather critical information on the behaviors, attitudes, and “firmographics” of participating members;
- 2) Statistically analyze the collected data, and
- 3) To organize and interpret the results in a final report, covering topics from idea validation to marketing approaches to SaaS benchmarks, and more.

Research Design

A web-based survey was sent to approximately 45,000 startup founders in MicroConf's database, and promoted across MicroConf's social media, YouTube channel, and podcasts. The survey was conducted between October 28, 2023, and November 15, 2023.

Only those founders who were over 18, currently operating a company that was generating revenue, and charging recurring fees for their software were able to complete the survey. Six hundred ninety-six respondents participated in the survey, with 469 individuals completing the survey. On average, it took respondents 15 minutes to complete the survey.

The distribution of responses to each question is presented in this report and an analysis of the relationship between company strategies and growth where appropriate.

Founders who completed the survey were entered into a drawing to win a MicroConf Growth 2023 VIP pack.

THANK YOU!

We hope you found value in the fourth annual State of Independent SaaS. We've long said that bootstrapped software entrepreneurship is a great equalizer. For those with the grit and the ambition to forge ahead and build a bootstrapped SaaS, this report is for you.

We're here to help you meet, learn, launch, and grow.

Onward!

- Team MicroConf

Stay in Touch with MicroConf

To stay in the loop on the world's most trusted community of bootstrapped and mostly bootstrapped SaaS founders, head to MicroConf.com or follow us on any of the social accounts below.

